

KEBRI DEHAR UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

ORGANIZATIONAL BEHAVIOR READING MATERIAL

COMPILED BY:
BITEWUSH ADDIS (MBA)

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Kebri Dehar, Ethiopia

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CHAPTER ONE

AN OVERVIEW OF ORGANIZATIONAL BEHAVIOR

1.1. What is Organizational Behavior?

Definitions

“Organizational behavior is a field of study that investigates the impact that individuals, groups and organizational structure have on behavior within the organization, for the purpose of applying such knowledge towards improving an organizational effectiveness”.

The above definition has three main elements; first organizational behavior is an investigative study of individuals and groups, second, the impact of organizational structure on human behavior and the third, the application of knowledge to achieve organizational effectiveness. These factors are interactive in nature and the impact of such behavior is applied to various systems so that the goals are achieved. The nature of study of organizational behavior is investigative to establish cause and effects relationship.

An organization is a collection of people who work together to achieve a wide variety of goals, both goals of the various individuals in the organization and goals of the organization as a whole. Organizations exist to provide goods and services that people want. These goods and services are the products of the behaviors of workers.

Organizational behavior is the study of the many factors that have an impact on how individuals and groups respond to and act in organizations and how organizations manage their environments.

Although many people assume that understanding human behavior in organizations is intuitive, many commonly held beliefs about behavior in organizations, such as the idea that a “happy worker is a productive worker,” are either entirely false or true only in specific situations. The study of organizational behavior provides a set of tools—concepts and theories—that help people understand, analyze, and describe what goes on in organizations and why. How do the characteristics of individuals, groups, work situations, and the organization itself affect how members feel about their organization?

1.2. The three basic units of analysis in Organization Behavior

The study of organization behavior includes everything about organizations. As this is a rather large undertaking, it is helpful to breakdown the field of study in to more manageable units for investigation, and in this regard this material will use three different, but interrelated, levels of analysis: 1) the individual 2) group behavior and 3) organization structure and job design.

I. The Individual

At one level, we can view organizations as consisting of individuals working on tasks in the pursuit of personal and organizational goals. As a result, in order to understand organizations, it is necessary to understand people, particularly from the perspective of individual organizational member. Much of what we know about individuals is drawn from the discipline of psychology, and it is format his field that theories and explanations regarding why individuals behave and react as they do in response to different organizational policies, practices, and procedures is

obtained. Within this perspective, theories of motivation and satisfaction are explored to assist in understanding the behavior and performance of individual organizational members.

II. Group Behavior

A second level of analysis focus upon the interactions of people as they work in committees, teams, groups, units, or departments. This perspective on organization behavior considers the functioning of these various types of groups, asking questions such as: How do people work together in groups? What factors determine whether a group will be cohesive and productive, as opposed to fragmented and unproductive? How does leadership influence group members and their ability to work together co-operatively and productively? This level of analysis draws in particular on theories from social psychology.

III. Organizational Structure and Job Design

The 3rd level of analysis has to do with the way organizations are formally structured and with the way in which jobs are designed. Concern at this level of analysis is with the relationship between organization & its environment, and emphasis is placed upon understanding how organization structure & job design influence effectiveness (for example, how different ways of assigning duties and responsibilities to departments may influence the ability of these departments and the whole organization to do their work effectively). Additionally, an understanding of organizational design must characterize and influence organizational behavior.

Why Do We Study OB?

Following are the reasons to study organizational behavior:

-  To learn about yourself and how to deal with others
-  You are part of an organization now, and will continue to be a part of various organizations
-  Organizations are increasingly expecting individuals to be able to work in teams, at least some of the time
-  Some of you may want to be managers or entrepreneurs

1.3. Characteristics of Organizational Behavior

Organization behavior explores the nature and functioning of all types of organizations, not just private-sector, profit oriented organizations. The field is equally concerned with understanding educational organizations, hospitals, government agencies, voluntary organizations, and soon. Organization behavior seeks to develop general principles and concepts that are relevant to understanding the operation and performance of all types of organizations.

What are the common defining characteristics of an organization?

1. Organizations are composed of individual and groups.

While at first glance it may seem obvious that all organizations are made up of people, the key point is that people are the organization. We may have a tendency to identify the products and service it creates. But buildings are simply places for people to work, technology is something that the people make use of, and products and services are created by people. It is the people who are the organization, and without them there is no organization.

2. Organizations are oriented toward the achievement of goals.

Organizations are created and continue to exist only because some groups of people have a common goal that they cannot accomplish alone. For instance, hospitals exist in order to meet the goal of providing health service to people who are sick. Every organization is goal-oriented.

3. Organizations need employees' specialization and coordination in order to accomplish their goals.

Organization exists because a single individual is unable to perform all the functions and activities necessary to create a product or provide a service to a group of customers or clients. The members of an organization do not each attempt to do all the jobs and perform all the functions that need to be carried out for the organization to accomplish its goals. Instead, the organization divides up the work to be performed and each person or group of people takes responsibility for performing some set of specialized functions. However, once the work has been divided up and people have become specialized, the organization requires some means for coordinating their activities.

1.4. The development of organizational behavior

By most estimates organizational behavior emerged as a distinct field around 1940s (Warner 1994). However, its origin can be traced much further back in time. The Greek philosopher Plato wrote about equity in work relationships. Another Greek philosopher, Aristotle spoke about the elements of persuasive communication.

The writings of sixteenth-century Italian philosopher, Niccolo Machiavelli laid the foundation for contemporary work on organizational power and politics. In 1776, Adam Smith advocated a new form of organizational structure based on division of labor. One hundred years later, the German sociologist Max Webber, wrote about rational organizations and initiated discussion on charismatic leadership. Soon after, Fredrick W.Taylor, introduced the systematic use of goal setting and reward or incentives to motivate employees. Generally, four significant Eras; pre-scientific, classical, behavioral and modern have paved the way for the field of organizational behavior.

1) The pre-scientific Era(pre1000-1880)

The practice of management can be traced to earliest history as abundant archaeological evidences, such as the great pyramids, stands in silent tribute to the talent of bygone managers. Illiterate workers (or slaves), miserable working conditions, primitive agrarian economies and crude tools made the tasks of managers in ancient civilizations extremely difficult. More over, even though, managers during the pre-scientific era did not have formal education and training in proven management methods, they accomplished amazing things. As time passed, exploration of natural resources and technological advances lead to the industrial revolution. The classical management era was born out of this interest.

2) The classical Era(1880-1930)

During this time, the first theory of management began to evolve. Two major thrusts were administrative theory and scientific management.

Scientific management

According to time-honored definition, scientific management is the kind of management which conducts a business or affairs by standards established by factors or truths gained through systematic observation, experiment or reasoning.

Fredrick Taylor created with being the father of scientific management; published the principle of scientific management. In 1911, through time and task study, standardization of tools and procedures, development of piece rate incentive schemes and systematic selection and training. Taylor dramatically improved productivity. Taylor's goal was to make work behavior as stable and predictable as possible so that increased usage of sophisticated machines and factories would achieve maximum efficiency. He relied heavily on monetary incentives because he saw workers as basically lazy beings, motivated primarily by money.

Administrative theory: Also called the universal process school of management. The origin of administrative theory approaches can be traced to Henner y Fayol the French industrialist. In his 1916 administration 'Industrielle et Generale', Fayol divided the manager's job into five functions; planning, organizing, command, coordination and control. He then recommended 14 universal principles of management. Fayol viewed as potentially disruptive factor to be closely controlled by management. Thus, these 14 principles emphasized on division of labor, authority, discipline, and strictly enforced chain of command. They include.

Principles	Description
Division of labor	The more people specialize, the more efficiently they can perform the task.
Authority	Managers have the right and the authority to give order and to get things done.
Discipline	Members of an organization need to respect the rules and agreements that govern it.
<u>Unity of command</u>	Each employee should receive instructions about particular operations from only one person to avoid conflicting expectations and confusions.
Unity of direction	Managers should coordinate the efforts of employees working in projects. But one manager should be responsible for one employee's behavior.
Subordination	Subordination of individual interest to the common goods.
<u>Remuneration</u>	Pay for work done should be fair to both employee and employer.
Centralization	Managers should retain final responsibility but should also give their subordinates enough authority to their job properly.
<u>Scalar chain</u>	A single, uninterrupted line of authority should run rank to rank from top management to lowest position in the company.
Order	Materials and people should be at the right place at the right time.
Equity	Managers should be both free and friendly to their subordinates.
Stability and tenure of staff	High rate of employee turnover is not efficient.
	Subordinates should be given the freedom to formulate and carry on with

Initiative	their plans.
Esprit de corps	Promoting team spirit gives the organization sense of unity.

3) The behavioral or Neo-classical Era (1930-1960)

A significant landmark in the evolution of managing and understanding the behavior of people in the behavioral Era was the outcomes of the human relation movement during the 1930s.

A unique combination of factors fostered the human relation movement during the 1930s. First, following the legalization of union management collective bargaining in the United States in 1930s; management began looking for a new ways of handling employees. Second, behavioral scientists conducting on the job research, started calling for a more attention for the 'human' factors. Managers a headed the call for better human relations and improved working conditions .One such study conducted at western electric's Hawthorne plant ,was a prime stimulus for the human relation movement. Another essential to the human relation movement were the writings of [Elton mayo](#) and [Mary parker Follett](#). Australian born Mayo, who headed the Harvard researchers at Hawthorne, advised managers to attend to the emotional needs of employees in his 1933 classic, the human problem of industrial civilization. Follet was a true pioneer, not only as a female management consultant in the male-dominated industrial world of the 1920s, but also a writer who saw employees as a complex bundle of attitudes, beliefs and needs. Mary Follett told managers to motivate job performance instead of merely demanding it, a "pull" rather than a "push" strategy.

The modern Era (1960 onwards)

The writing of Douglas McGregor, the total quality management movement, and the contingency approach to management were the significant land marks in the evolution of managing and understanding the behavior of people during the modern era.

In 1960s Douglas McGregor, wrote the book entitled; the human side of an enterprise, which has become an important philosophical base for the modern view of people at work. He formulated two sharply contrasting sets of assumptions about human nature. His theory x assumptions, were pessimistic and negative and according to his interpretation they were typical of how managers traditionally perceived employees. To help managers break with this negative tradition, he formulated his theory of Y modern and positive set of assumption about people. McGregor believed that managers could accomplish more through others by viewing them as self-energized, committed, responsible and creative beings.

The underlying principles of total quality management are more important than ever given the growth of both E-business on the internet and the overall service economy. Total quality means that the organization's culture is defined by and supports the constant attainment of customer satisfaction through an integrated system of tools, techniques and training. This involves the continuous improvement of organizational process, resulting in high quality products and services. Quality consultant, Richard J schonberger sums up TQM as 'continuous, customer-centered, employee driven improvement.

Principles of total quality management; Despite variations in the language and scope of total quality programs, it is possible to identify three total quality principles:

- ✚ Does it first time to eliminate costly reworks?
- ✚ Listen to and learn from employees and customers.
- ✚ Make a continuous improvement in an everyday matter.

1.5. Contributing Disciplines to Organizational Behavior

Psychology: Psychology is an applied science, which attempts to explain human behavior in a particular situation and predicts actions of individuals. Psychologists have been able to modify individual behavior largely with the help of various studies. It has contributed towards various theories on learning, motivation, personality, training and development, theories on individual decision making, leadership, job satisfaction, performance appraisal, attitude, ego state, job design, work stress and conflict management. Studies of these theories can improve personal skills, bring change in attitude and develop positive approach to organizational systems. Various psychological tests are conducted in the organizations for selection of employees, measuring personality attributes and aptitude.

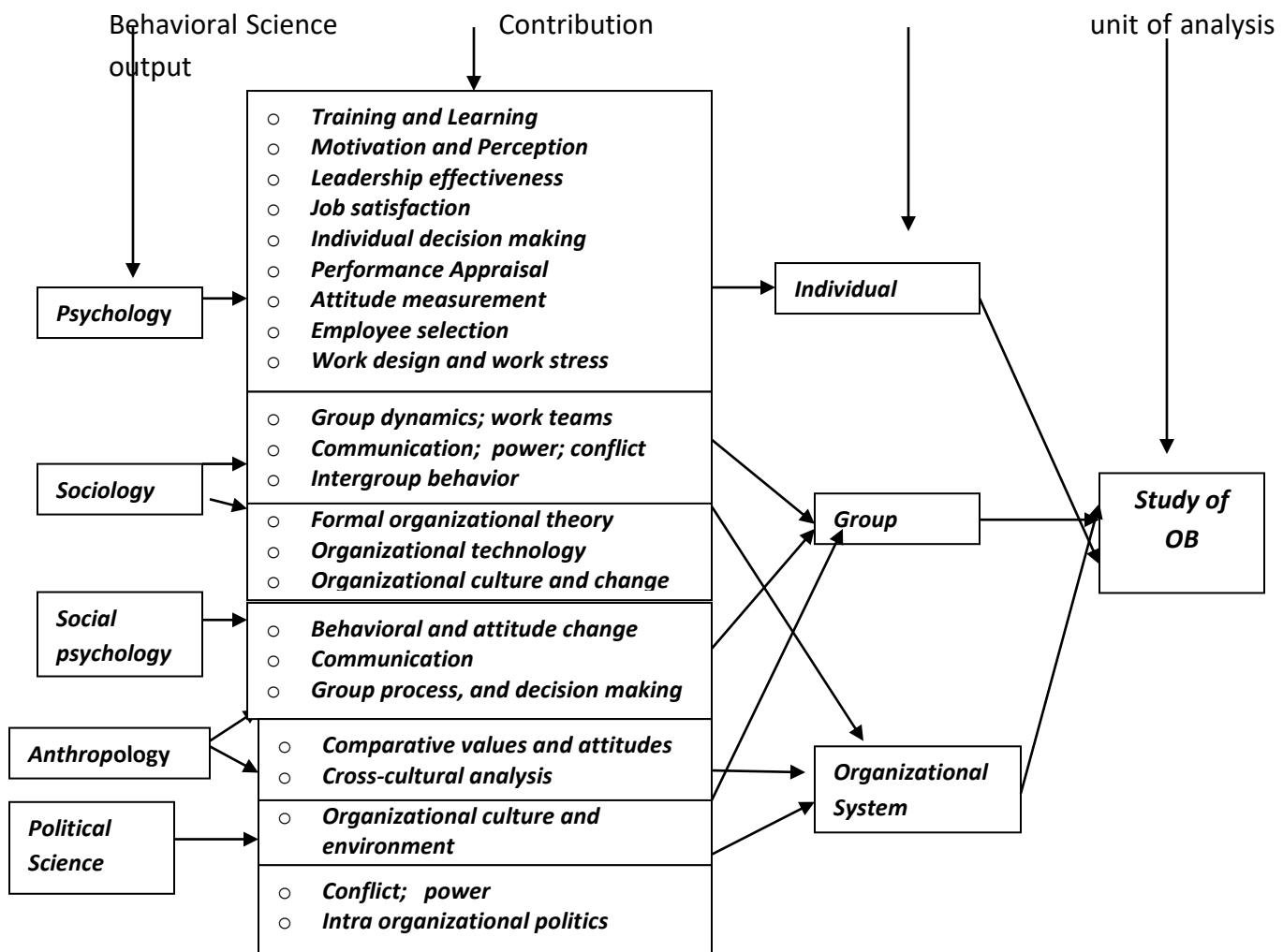
Sociology: Science of Sociology studies the impact of culture on group behavior and has contributed to a large extent to the field of group-dynamics, roles that individual plays in the organization, communication, norms, status, power, conflict management, formal organization theory, group processes and group decision-making.

Political science: Political science has contributed to the field of Organizational behavior. Stability of government at national level is one major factor for promotion of international business, financial investments, expansion and employment. Various government rules and regulations play a very decisive role in growth of the organization. All organizations have to abide by the rules of the government of the day.

Social psychology: Working organizations are formal assembly of people who are assigned specific jobs and play a vital role in formulating human behavior. It is a subject where concept of psychology and sociology are blend to achieve better human behavior in organization. The field has contributed to manage change, group decision-making, communication and ability of people in the organization, to maintain social norms.

Anthropology: It is a field of study relating to human activities in various cultural and environmental frameworks. It understands difference in behavior based on value system of different cultures of various countries. The study is more relevant to organizational behavior today due to globalization, mergers and acquisitions of various industries. The advent of the 21st century has created a situation wherein cross-cultural people will have to work in one particular industry. Managers will have to deal with individuals and groups belonging to different ethnic cultures and exercise adequate control or even channelize behavior in the desired direction by appropriately manipulating various cultural factors. Environment studies conducted by the field of anthropology aims to understand organizational human behavior so that acquisitions and mergers are smooth. Organizations are bound by its culture that is formed by human beings.

Fig.1.1. the overview of the major contributions to the study of OB - Towards an OB discipline



1.6. Management and Organization Behavior in the 21st century (Challenges & Opportunities)

Understanding organization behavior has never been more important for managers. A quick look at a few of the dramatic changes now taking place in organizations supports this claim. For instance, the typical employee is getting older; more and more women and non-whites are in the work place; corporate restructuring and cost cutting are severing the bonds of loyalty that historically tied many employees to their employers; and global competition is requiring employees to become flexible and to learn cope with rapid change and innovation.

In short, there are a lot of challenges and opportunities today for managers to use organization behavior concepts. In this section, we review some of the more critical issues confronting managers to day for which organization behavior offers solutions or at least some meaningful insights to ward solutions. The following areas are the area in which the managers' of modern organizations are being encountered challenges.

- **Improving Quality and Productivity:**-More and more managers are confronting the challenges of competition in their business areas. They have to improve their organizations productivity and the quality of the products and services they offer in order

to continue to exist /survive and finally to become successful. Toward improving quality and productivity, they are implementing programs like total quality management and re-engineering-programs that require extensive employee involvement.

- Improving people skills
- Managing work force diversity
- Responding to globalization
- Empowering people
- Stimulating innovation and change
- Coping with “Temporariness” – today, change is an ongoing activity for most managers. So, workers need to continually update their knowledge and skills to perform new job requirements.
- Declining employee loyalty
- Improving ethical behavior

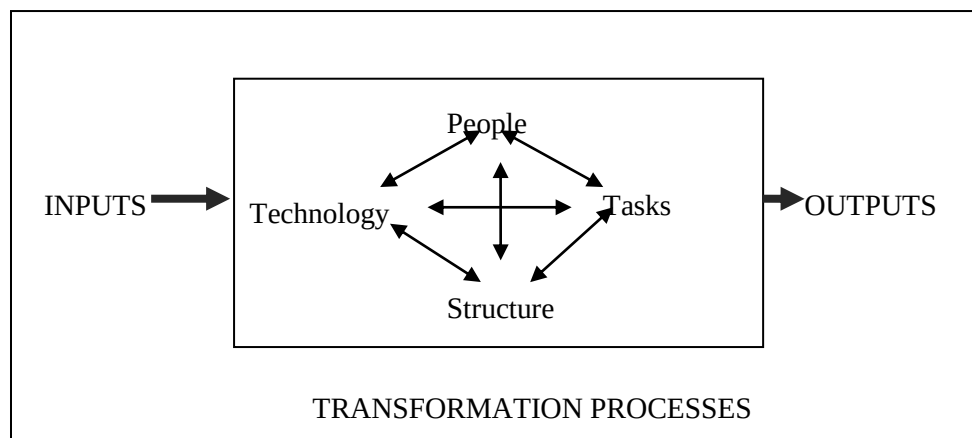
To sum up, since all the above activities are performed by managers, 21st century’s managers’ function is very challenging and difficult.

1.7. Organization as a System

It is very helpful to think of an organization as a system of interdependent parts that interact with one another and that also must interact with the broader world within which the organization exists. Within the organization we see that people employ technology in performing the tasks that they are responsible for, while the structure of the organizations eves as a basis for coordinating all their different activities. The systems view emphasizes the interdependence of each these elements within the organization, as indicated by the arrows in figure below. Each element within the organization depends upon all the other elements, if the organization as a whole is to function effectively.

The other key aspect of the systems view of organization is its emphasis on the interaction between the organization and its broader environment. Organizations do not exist in a vacuum but instead are influenced by the social, economic, political and cultural environments within which they operate. As indicated in figure below, organizations are dependent up on their environments in two key ways.

Fig.1.2. Systems view of organizations



First, the organizations require inputs from the environment it is to operate. These inputs can take the form of people, raw materials, money, ideas, and so on. If an organization cannot attract the inputs it requires from the environment in order to function, it will rapidly decline and go out of existence. The organization itself can be thought of as performing certain transformation processes on its inputs in order to create outputs in the form of products or service.

This brings us to the second key way in which the organization is dependent upon its environment. If people outside the organization do not want to buy the products or services provided by the organization (i.e. the outputs of the organization), it will very quickly go out of existence.

The systems view of organizations emphasizes the key interdependences that organization must manage within themselves organizations must trade off the interdependencies among people, tasks, technology, and structure in order to perform their transformation processes effectively and efficiently. Organizations must also recognize their interdependence with the broader environments within which they exist. Failure to recognize and manage these key interdependencies can leads to rapid decline and ultimately to the demise of the entire organization.

1.8. Ethics and Organizational Behavior

Ethics are the principles and values an individual uses to govern his activities and decisions. In an organization, a code of ethics is a set of principles that guide the organization in its programs, policies and decisions for the business. The ethical philosophy an organization uses to conduct business can affect the reputation, productivity and bottom line of the business.

Moral values such as respect, honesty, fairness, and responsibility are important constructs of ethics. Application of such ethics is ensured by organizations by adopting some code of ethics. Thus, ethics include the fundamental ground rules and organizations give an informed choice to the employees to understand whether something is right or wrong and then take decisions making the right choice.

Ethics therefore, is the framework of values for moral behavior. It is a social glue to ensure that an organized society prospers and everybody's interest is served.

The role of ethics in organizational behavior underlies many of the keys to success and sustainability by creating a set of rules and guidelines that promote safety, trust, and responsibility in the workplace. By creating and enforcing workplace culture with a strong ethical code, an organization can reap the benefits in several different ways.

Leadership Ethics

The ethics that leaders in an organization use to manage employees may have an effect on the morale and loyalty of workers. The code of ethics leaders use determines discipline procedures and the acceptable behavior for all workers in an organization. When leaders have high ethical standards, it encourages workers in the organization to meet that same level. Ethical leadership

also enhances the company's reputation in the financial market and community. A solid reputation for ethics and integrity in the community may improve the company's business.

Employee Ethics

Ethical behavior among workers in an organization ensures that employees complete work with honesty and integrity. Employees who use ethics to guide their behavior adhere to employee policies and rules while striving to meet the goals of the organization. Ethical employees also meet standards for quality in their work, which can enhance the company's reputation for quality products and service.

Generally Leaders and employees adhering to a code of ethics create an ethical organizational culture. The leaders of a business may create an ethical culture by exhibiting the type of behavior they'd like to see in employees. The organization can reinforce ethical behavior by rewarding employees who exhibit the values and integrity that coincides with the company code of ethics and disciplining those who make the wrong choices.

For individuals, the role of ethics in organizational behavior helps ensure that each person is treated fairly and maintains personal responsibility. Ensuring that each person earns a fair market wage based on his effort, experience, and performance is one example of an ethical guideline that greatly affects individuals. Similarly, by clearly outlining personal responsibility, such as not padding expenses or abusing sick leave, ethical codes can help ensure that a high level of trust exists between co-workers. In general, if an employee feels that he is treated fairly and can trust his co-workers and superiors, loyalty, and thus productivity may rise.

The role of ethics in organizational behavior can also greatly impact how the organization acts as a whole. Even if individuals follow a strong code of ethics, if the larger organization acts unethically, the positive effect may be negated. For instance, even if all mid-level workers in an office act fairly and morally toward one another, if managers are allowed to get away with sexual harassment, the entire system can become a hostile, dangerous environment that can erode loyalty and cause more problems.

In addition to maintaining internal behavioral standards, part of the role of ethics in organizational behavior is to ensure that the organization is behaving positively in the community at large. If a company engages in behavior that damages the community, the consequence will often filter down into the organization itself. One example of this might be a significant decrease in employee loyalty after a newspaper article discloses that the business uses sweatshop (where pay is low and conditions are poor or even illegal) labor to manufacture products. Assisting the community in a positive way can help improve employee loyalty, attract better employees, and bring new business opportunities by maintaining an ethical reputation.

CHAPTER TWO

FOUNDATION OF INDIVIDUAL BEHAVIOR AND LEARNING IN AN ORGANIZATION

2.1. Perception and Individual Decision Making

2.1.1 What is perception mean?

Definition

Perception is defined as “a process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment (Robbins)”.

(a) What one perceives may be different from objective reality. A person coming late on duty may be perceived as casual and tardy while there may be social problems faced by him.

(b) There is often disagreement among the individuals in the organization in relation to pay and allowances, administrative back up, policies and procedures and the place of work itself. An individual who displays a positive attitude may perceive above factors as good and conducive to work environment while the others may consider them inadequate. Employees also compare themselves on job assignment.

(c) It would often be observed that the manager is rated differently by his subordinates because of the different perception of the individual about the manager. Sensation and perception are complex phenomenon.

Perception is outcome of sensation and is much broader in its nature. Perception involves observing data, selecting, and organizing the data based on sensory reflects and interpreting the same as per personality attributes of the perceiver. That is why no two individuals can perceive an employee in the same manner, for one he may be efficient while for the other he may be perceived as useless.

Understanding perceptual process helps managers know better why people perceive things as they do differently, and to better deal with such differences and minimize some distortions that occur.

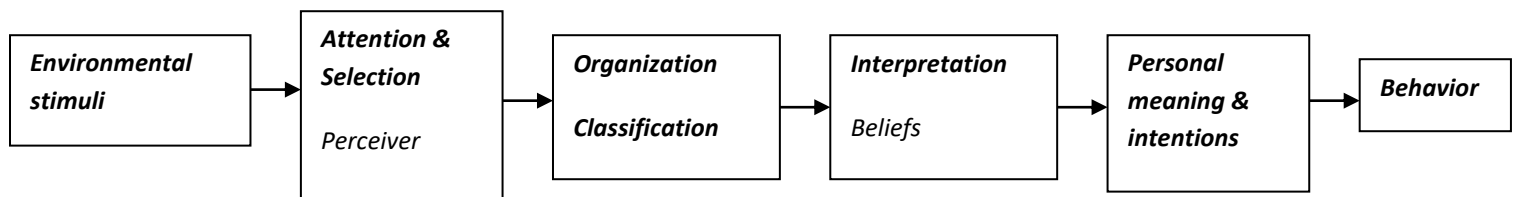


Fig: 2.1. The perceptual process – from stimuli to behavior

2.1.2 Factors Influencing Perception

There are a number of factors operate to shape & sometimes to distort perception. These factors mainly reside (as shown in the figure below) the perceiver, the target, and the situation.

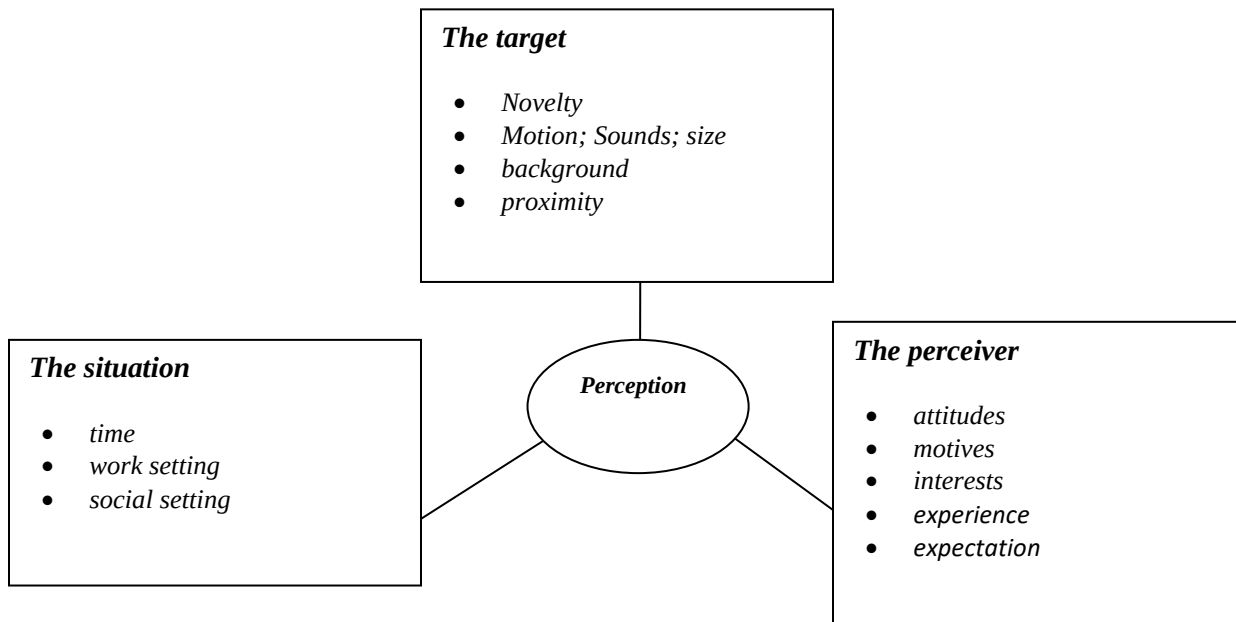


Fig: 2.2. Factors that influence perception

Perceiver: When an individual looks at the object and attempts to interpret the same, what he or she sees it is largely influenced by the personal characteristics. Perception is a matter of attitude that can be positive or negative. Some workers would feel and perceive that the prevailing working conditions in the organizations are congenial for work and it contributes positively while for others, it would be inadequate and demand improvement.

This is indicative of positive and negative attitude patterns.

Motive is another factor that plays an important role in perception. Motive is nothing but unsatisfied needs. This exerts considerable influence on perception. Boss who is insecure perceives subordinate who does well as threat to his position. Personal insecurity is a threat to personal survival in a job especially if one is frequently transferred.

Interest is persons liking for a particular thing in an individual. May be some people get attracted to eyes of a girl because he has interest in the eyes while other person may be interested in hair style, therefore different person (perceiver) will perceive a girl based on perceivers' interest. It has also been observed in the work places that workers would display interest as per their liking. Students in the class when preoccupied are not attentive in the class.

Past experience also plays an important role in perception. Just as interest narrows down one's perception so does past experience. In contrast past experience nullifies an object interest for example, subsequent visit to a historic place. Object or events that have not been experienced before are more noticeable and creates an interest for example, a female manager.

Expectations can distort one's perception in what one sees and what one expects to see. For example power hungry police officer to be strict regardless of his actual traits.

The Target: Objects, events that are similar to each other tend to group together and have a tendency of perceiving them as common group. Physical and time proximity also leads us to perceiving a situation in a different form than actual reality. Soldiers in identical uniform and their uprightness is perceived as being strict, ruthless and tough, on the contrary they are sober, soft and very delicate at heart. It is therefore important to analyse the event, situation, or an object in its correct perspective and be led by similarity, physical and time proximity.

The Situation: Change in situation leads to incorrect perception about a person. Time is one factor, which influences the perception. Time is related to work setting and social setting. What is important to remember is the perception should be done in a correct manner not to be led due to work setting or social setting and that the situation is not allowed to perceive wrongly. An object can be identified by its size, shade, shape, sound it makes and background. It can be distinguished based on its movement. In darkness it may be identified by its silhouette, for example caravan moving on skyline at the dawn.

Attribution Theory of Perception

In day-to-day life, we come across people with whom we interact. Motives, intentions, belief and attitude of people have an impact as to how they behave. It has been seen that our perception about the people is greatly influenced by the assumption we make about a person and not by reality. There are two factors, which has an impact on human behavior. First is internally caused behavior – refers to internal factors on which individual has a full control, secondly the externally caused behavior refers to the behavior which has been caused due to external factors and that the individual has no control over it.

Attribution theory suggest that when we evaluate human behavior, it is either internally caused or it is caused due to external factors as explained above. The determination however depends on the following three factors depicted in the following figure.

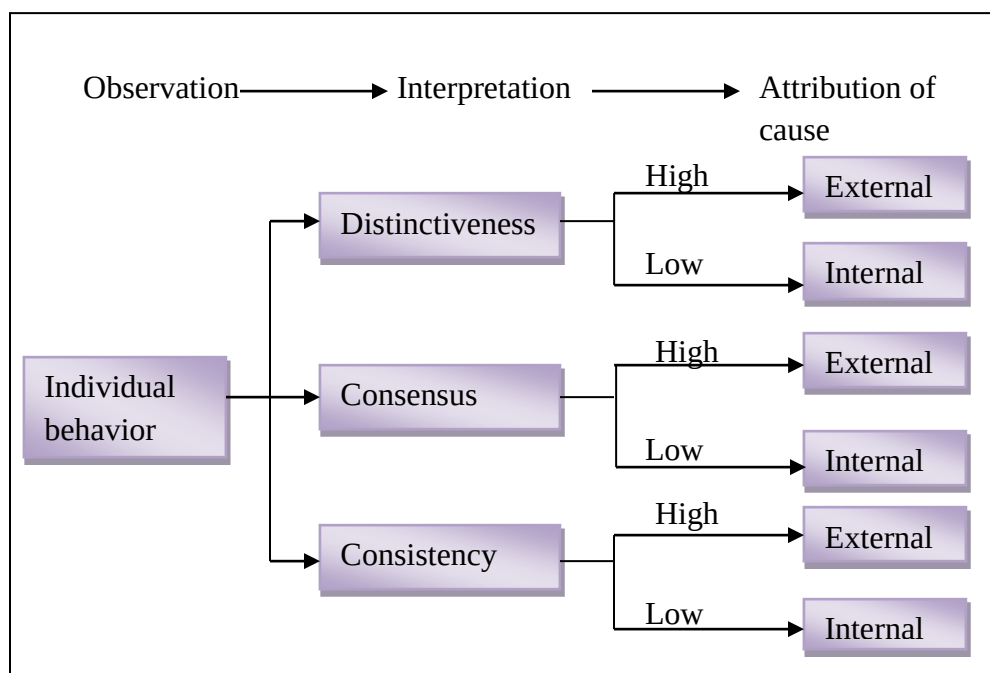


Figure: 2.3. Attribution Theory

(A) Distinctiveness: Let us for evaluation purposes take an example of X worker coming late for duty. When we carry out interpretation there are two factors, one whether arriving late is usual or unusual behavior. If it is usual, it is attributed to internal factor on which X has full control. When the behavior is unusual then it can be attributed to external factors. In the former situation individual could be counseled appropriately in the later situation, the external factors cannot be corrected. If the external factors are high, then late coming should not be attributed to the individual behavior.

(B) Consensus: This factor refers to group behavior. If the entire group taking the same route came late on duty, the causation is attributed to external factors. But by some chance if X only was late then the causation would be internal.

(C) Consistency: If the behavior of Mr. X is consistence that is if he is consistently coming late then attribution should be to internal factors. In such cases there is a high internal causation. If X came late once in a while the causation would be low and attributed to external factors. More consistence the behavior, the more the observer is inclined to attribute it to internal causes. It has been seen that we have the tendency to under estimate the influence of external factors and over estimate the influence of internal factors or personal factors while carrying out perception. This phenomenon is called the fundamental attribution error.

Common Errors While Judging Others

1. Selective Perception: People selectively interpret what they see based on their attitude, interest, background and experience. In an organization so many things keep happening but different people will perceive one fact differently based on individuals selectivity in perceiving which is generally based on his past experience and attitude towards work. It is important that when we read others, we make a mistake reading with speed and putting seal of what has been selectively seen by a perceiver. For correct perception an individual must be observed, studied, tried and later perceived without an individual bias.

2. Halo Effect: Halo effect refers to judging an individual based on single characteristics, such as intellectual ability, sociability and appearance. This type of perception is quite common in any organization, which is called halo effect in perceiving an individual or situation. A rater may rate a subordinate based on dominance of a single trait of the subordinate. The halo effect has been very frequently noticed in performance appraisal.

3. Projection: You assume a person based on your own traits and not what he actually possesses. If you were hard working and dependable you would expect others to be so. If a person projects the above characteristics in his dealings he is rated high or perceived in a different way than what he actually is. It is commonly found that subordinates do or exhibit the same behavior as desired by the boss.

4. Contrast Effect: We do not evaluate a person in isolation. Our reaction to one person is relative to the other. During selection process, interviewer selects a particular person for a

particular job not because he fulfils all requirements but he is generally selected in relation to the other candidates. Individual selected may be academically, skill wise, experience wise better than those not selected. So it is a comparative or contrast phenomenon of perception. We generally hear, people say that Mr. X presentation was good thereby meaning it was better in relation to other people who would have made presentations in a particular session.

5. Stereotyping: In order to simplify matters, we often tend to classify people and events into already known categories or groups. For example we generally perceive man as executive and woman as secretary even if the situation may be different. For police person, it is generally believed that they are generally tough and law abiding which may not be true. In reality this may not be true. Similarly we attach positive attribute to judges, professors and doctors and negative attributes to school dropouts, addicts although they may not be really so.

2.2. ATTITUDE

2.2.1. Definition of Attitude

According to G.W. All port, “Attitude is a mental and neutral state of readiness organized through experience, exerting a directive or dynamic influence upon individual’s response to all objects and situations with which it is related.”

Krech and Crutchfield defined “attitude as an enduring organization of motivational, emotional, perceptual and cognitive processes with respect to some aspect of the individual’s world”

In effect attitude is used in a generic sense, as to what people perceive, feel and express their views about a situation, object or other people. Attitude cannot be seen, but the behavior can be seen as an expression of attitude.

2.2.2. Components of Attitude

(a) Cognitive component: Cognitive component of attitude is related to value statement. It consists of belief, thoughts, values and other information that an individual may possess or has faith in. Quality of working hard is a value statement or faith that a manager may have.

(b) Affective component: Affective component of attitude is related to person’s feelings about another person, which may be positive, negative or neutral. I do not like Maya because she is not hard working, or I like Mina because she is hard working.

It is an expression of feelings about a person, object or a situation.

(c) Behavioral component: Behavioral component of attitude is related to impact of various situations or objects that lead to individual’s behavior based on cognitive and affective components. I do not like Maya because she is not hard working is an affective component, I therefore would like to disassociate myself with her, is a behavioral component and therefore I would avoid Maya. Development of favorable attitude and good relationship with Mina is but natural. Individual’s favorable behavior is an outcome of the fact that Mina is hard working. Cognitive and affective components are bases for such behavior.

2.2.3. Sources of Attitudes

Attitudes like values are acquired from parents, teachers, and peer group members. We are born with certain genetic predispositions. Then, in our early years, we begin modeling out attitudes after those we admire, respect, or maybe even fear. We observe the way family and friends behave, and we shape out attitudes and behavior to align with theirs. People also imitate the attitudes of popular individuals and those they admire and respect.

In contrast to values, your attitudes are less stable. Advertising messages, for example, attempt to alter your attitudes toward a certain product or service. In organizations, attitudes are important because they affect job behavior. If workers believe, for example, that supervisors, auditors, bosses, and time-and-motion engineers are all in conspiracy to make employees work harder for the same or less money, then it makes sense to try to understand how these attitudes were formed, their relationship to actual job behavior, and how they might be changed.

2.2.4. Formation of Attitude

A. direct experience with the object: attitudes can develop from a personally rewarding or punishing experience with an object. Employees form attitudes about jobs from their previous experience. Example if everyone who has held a job has been promoted within six months, current job holders are likely to expect a promotion within six months

B. association: attitudes towards one object may develop from associating that object with another object. Example a favorable or unfavorable attitude about a work will often be formed by associating it with similar other work.

C. family and other groups: a person may learn attitudes through imitation of parents and other family members. If parents have a positive attitude towards an object, the child is likely to adopt similar attitudes. Similarly attitudes are acquired from other close groups in which we are a member.

2.2.5. Types of Attitude

Job satisfaction: Job satisfaction is related to general attitude towards the job. A person having a high level of satisfaction will generally hold a positive attitude while dissatisfied people will generally display negative attitude towards life. When we talk about attitude, we generally speak about job satisfaction because they are inter-related in organizational behavior.

Job involvement: Job involvement refers to the degree to which a person identifies himself (psychologically) with his job, actively participates and considers his perceived performance level important to self-worth (Robbins). High level of involvement indicates that the individual cares for his job, which has an impact on high productivity.

Organizational commitment: Organizational commitment refers to degree to which an employee identifies himself with the organizational goals and wishes to maintain membership in the organization. He wants to “belong” to the organization and take an active part in its functioning. Absenting or resigning from the job versus job satisfaction is a predictor of organizational commitment. The concept has been very popular in the recent times. Organizational commitment

depends upon degree to which the workers enjoy autonomy and freedom of action while performing.

2.2.6. Attitude and Consistency

As stated earlier that the attitude of an individual is not visible but is reflected through his behavior as a mirror of his attitude. It is seen that people seek consistency among their attitudes or between attitude and behavior. They seek to reconcile their attitudes and align their attitudes with behavior so that it is rational and consistent. If there is inconsistency between attitude and behavior, outside forces act upon an individual, which leads to attaining of equilibrium state, thus consistency is achieved.

Cognitive Dissonance Theory

The theory proposed in 1950s seeks to explain linkage between attitudes and behavior. We have often observed workers saying that working conditions in an organization are poor. Does it mean that if the working conditions were improved the workers will achieve higher productivity? It is a difficult question to answer, because there is in-consistency between working conditions and its impact on changing of attitude of workers in relation to productivity. Festinger explains that dissonance is inconsistency, and cognitive dissonance refers to any inconsistency or incompatibility that an individual might perceive between two or more attitudes, and attitude and behavior.

He further argues that

- (a) Any form of inconsistency is uncomfortable and individual attempts to reduce dissonance or discomfort.
- (b) Individual tries to reduce dissonance to achieve stable state of behavior. For example non-payment of tax (behavior) while recommending payment and displaying honesty towards social obligation (attitude)

Reduction of dissonance

Reduction of dissonance depends upon following three factors.

- (a) Importance of the issue, element or situation. If elements creating dissonance are unimportant, the pressure to correct behavior will be low. For example to prevent pollution (non-use of polythene bags) is not so important for an individual.

Therefore, though prevention of pollution is important but individual rarely show the concern and keep using plastic bags in day-to-day Life. On the other hand train driver, though does not want to run the train at odd hours of night but he has to make the living and hence he runs the train (behavior) in spite of the high degree of dissonance because it is related to high degree of rewards.

- (b) Degree of influence individual believes he has on issue, element or situation. If one perceives that the dissonance is uncontrollable then one is less likely to change the attitude. Attitude change is a matter of conviction. It is voluntary in nature. In such situation (because it is from within) the pressure to change the attitude is more to reduce the state of discomfort. For

example voluntary disclosure of Income Tax scheme (VDIS) introduced by the government. If an individual wants to reduce dissonance (tension of being caught if not paid) and if the degree of influence is high, then the pressure to reduce dissonance will be high and therefore individual will disclose his income (behavior).

(c) Reward that may be associated to the dissonance. Rewards influence the degree to which individuals are motivated to reduce dissonance. If high rewards are associated with dissonance (discomforts) then individual will reduce tension, which is inherent in dissonance. A reward acts as positive attitude change agent and further achieves consistency in human behavior. VDIS is a scheme where government had asked people to disclose their income and that it would not ask the individuals about its source. The scheme therefore attempted to reduce dissonance that led to heavy deposits in the banks.

2.3. PERSONALITY

2.3.1. Definitions of personality

Personality is a very complex and multidimensional construct of a human being. No common definition of personality has so far been arrived at. Personality is a dynamic organization within an individual of those psychological systems that determines his unique adjustment with the environment. It is a sum total of ways in which an individual reacts and interacts with others.

Personality is a stable set of characteristics and tendencies that determine those commonalities and differences in the psychological behavior (thoughts, feelings, and actions) of people that have continuity in time and that may not be easily understood as the sole result of the social and biological pressures of the moment.

2.3.2. Determinants of Personality

Personality is determined by heredity, environment (culture) and situation under which an individual works. This is shown in diagrammatic form as below:

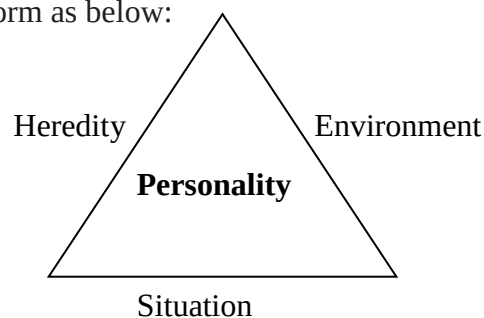


Figure: 2.4. Factor influencing personality.

Let us study these concepts one by one in detail.

Heredity

Heredity is transmitted through genes, which determine hormone balance, which later determine physique and subsequently the personality. Heredity refers to acquiring from parents certain biological, physical and psychological commonalities, which are further reflected in physical stature, facial attractiveness, sex, temperament, muscle composition and even reflect. They often decide energy level. These factors have a deciding influence on how a person in an organization would display his reactions in a particular situation.

Nature of health and psychological makeup that an individual enjoys can be traced from the traits his parents possessed. Parents prominently pass on shyness, fear and distress to the next generation.

Environment

Every individual is born and brought up in a particular environment. Environment leaves an imprint on the personality of an individual. It is commonly seen that a doctor's son preferring his father's profession and a child of a soldier enters into Defense Services.

More advanced the socio-economic conditions of the society more would the children be forward thinking. Environment should be viewed from the point of view of norms, ethics and value that are observed and the attitude displayed by the social group. The cultural background is important to evaluate personality.

In childhood, a parent, uncles, aunts and even neighbor's behavior is copied by a child.

It is therefore necessary to display an ideal behavior on the part of all the adults who come in direct contact with the children. Family moulds character of children through role models reinforcements, rewards and punishments. Other influences like first born and later born child will have different personality traits. First-born child would generally be commanding. Female child would be more responsive and pass on sobering effect on younger brothers/sisters.

Situation

Individual has to interact with number of problems in a given situation, which does not remain constant. It is subject to change and hence fluid in nature. There is therefore a need to recognize the person-situation interaction. It can be social learning activity of personality. Thus personality is situational; the uniqueness of each situation and any measure of personality must be examined. Personalities therefore mean how people affect others, how they understand and view themselves, pattern of personality traits and person situation interaction. When an individual goes to temple he would be sober, generally put on plain clothes and bow. When the same individual goes for interview he would be armed with knowledge of the organization.

The Big five model

The Big five model is a widely accepted five factor model of personality. It is a unifying framework. The factors help people observe and understand an individual's style and differences. Each factor represents one aspect of individual's personality and style and has important implications for job performance (both to individual & team).

The Big five model Consists of five basic personality dimensions

- Extroversion
- Agreeableness
- Conscientiousness
- Emotional stability
- Openness to experience

Extroversion describes someone who is sociable, talkative, and assertive. Agreeableness describes someone who is good natured, cooperative and trusting and also refers to individuals' propensity to defer to others.

Conscientiousness describes someone who is responsible, dependable, persistent and achievement-oriented. It is a measure of reliability. Emotional stability describes someone as calm, enthusiastic, and secure. It taps a person's ability to withstand stress. Openness to experience describes someone in terms of imaginativeness, artistic sensitivity, and intellectualism. It addresses one's range of interests & fascination with novelty.

2.3.3. Major personality attributes influencing OB

There are specific personality attributes that are relevant and powerful predictors (indicators) of behavior in organizations. The common ones are:

1. Locus of control

Locus of control is the dimension of personality that explains the degree to which people believe they are in control of their own fate, rather than external forces, they determine their own lives i.e. describes individuals who believe that they control what happens to them.

Some people believe that they are in control of their own destiny where as others see themselves as pawns of fate, believing that what happens to them in their lives is due to luck or chance. Hence the first types are internals and the second ones are externals.

Internals are people who believe they control the events and consequences that affect their lives, i.e. see themselves as masters of their own fate and not simply lucky. I.e. those who believe that they control their destinies whereas Externals are people who believe that what happens is caused by fate, luck, or other external forces. I.e. who see their lives as being controlled by outside force.

Researchers have found important behavioral differences between internals and externals.

- Internals display greater work innovation
- Internals have stronger expectations that effort leads to performance
- Internals exhibit higher performance on tasks involving learning or problem solving, when performance leads to valued rewards
- There is strong relationship between job satisfaction and performance for internals than for externals
- Internals obtain higher salaries and greater salary increase than externals
- Externals tend to be more anxious than internals.

2. Machiavellianism

Machiavellianism, named after Niccolò Machiavelli, is a personality attribute that describes the extent to which a person manipulates others for personal gain. It is describing the degree to which an individual is pragmatic, maintains emotional distance, and believes that ends can be justifying means.

The concept refers to rational, pragmatic approaches to situations and emotional distance from subordinates. High Machiavelli performs better in loosely structured situations and when they interact face to face with others.

3. Self –esteem (SE)

Self – esteem (SE) is individual's degree of liking or disliking of themselves. People differ in the degree to which they like or dislike themselves. It is a judgment one makes about one's own worth; and directly related to expectations for success.

People with high esteem tend to like themselves, have high expectation for success and feel confident they can achieve their goals. Those with low self-esteem lack confidence, and look to others for praise and reinforcement.

4. Self-monitoring

Self-monitoring has recently received increased attention in organizational literature. It is a personality trait that measures/ refers an individual's ability to adjust behavior to external situational factors.

Individuals high in self-monitoring show considerable ability to adjust & adapt their behavior to external situational factors. They are highly sensitive to external cues and can behave differently in different situations.

5. Risk taking

People differ in their willingness to take chances. Risk taking/ risk propensity refers to a person's willingness to take chances of risks, or a person's willingness to take risks. People with high propensity for risk make decisions faster and are willing to take the chances. Risk-averse people are more cautious, make decisions more carefully, and try to minimize risk.

High risk taking managers made more rapid decision and used less information in making their choices than did the low risk-taking managers (interestingly, the decision accuracy was the same for both group).

6. Dogmatism

Dogmatism refers to the degree of flexibility or rigidity of person's views. Those high in dogmatism tend to be rigid and closed. They often view the world as threatening and cling their beliefs. People low in dogmatism are more open-minded and receptive to considering views that differ from their own.

7. Authoritarianism

Authoritarianism is the degree to which a person behaves that status and power difference are appropriate in the organization. People high in authoritarianism tend to be autocratic and demanding with subordinate but are likely to accept orders and directions from superiors without questions. High authoritarian type could not fit well in organizations that require flexibility and quick changes or sensitive to people and cooperative behavior. They would fit in highly structured organization that values conformity (traditionalism).

Types of Personality

Do you know any people who are excessively competitive and always seem to be experiencing a chronic sense of time urgency? If so it's a good bet these people have a type A personality. A type 'A' individual is "aggressively involved in a chronic, incessant struggle to achieve more and more in less and less time, and it required to do so, against the opposing efforts of other things or other persons.

Type A's

1. Are always moving, walking, and eating rapidly;
2. Feel impatient with the rate at which most events take place;

3. Strive to think or do two or more things simultaneously;
4. Cannot cope with leisure time; and
5. Are obsessed with numbers, measuring their success in terms of how much of everything there acquire.

In contrast to the Type 'A' personality is the Type 'B', who is exactly opposite. Type B's are "rarely harried by the desire to obtain a wildly increasing number of things or participate in an endless growing series of events in an ever decreasing amount of time.

Type B's

1. Never suffer from a sense of time urgency with its accompanying impatience.
2. Feel no need to display or discuss either their achievements or accomplishments unless such exposure is demanded by the situation;
3. Play for fun and relaxation, rather than to exhibit their superiority at any cost; and
4. Can relax without guilt.

2.3.4. Matching Personalities and Jobs

This concern with matching the job requirements with personality characteristics is best articulated in John Holland's personality-job fit theory. The theory is based on the notion of fit between an individual's personality characteristics and his or her occupational environment. Holland presents six personality types and proposes that satisfaction and the propensity to leave a job depend on the degree to which individuals successfully match their personalities to a congruent occupational environment.

The theory argues that satisfaction is highest and turnover lowest where personality and occupation are in agreement. Social individuals should be in social jobs, conventional people in conventional jobs, and so forth. A realistic person in a realistic job is in a more congruent situation than is a realistic person in an investigative job. A realistic person in a social job is in the most incongruent situation possible.

The key points of this model are that,

1. There do appear to be intrinsic differences in personality among individual;
2. There are different types of jobs, and
3. People in job environments congruent with their personality types should be more satisfied and less likely to voluntarily resign than people in congruent jobs.

2.4. Learning

Learning is any relatively permanent change in behavior that occurs as a result of a person's interaction with the environment. Ironically, we can say that changes in behavior indicate learning has taken place and that learning is a change in behavior.

2.4.1. Types or Theories Learning

How do we learn? Three theories of have been offered to explain the process by which we acquire patterns of behavior. These are:-

Classical Conditioning: - is a type of conditioning where an individual responds to some stimulus that would not invariably produce such a response. Dear students for further knowledge you are required to ready Stephen P. Robbins page 106 – 107. This theory grew out of experiments to

teach dogs to salivate in response to the ringing of a bell, conducted at the turn of the century by a Russian physiologist, Ivan Pavlov.

Operant Conditioning: - is a type of conditioning in which desired voluntary behavior leads to a reward or prevents a punishment. It argues that behavior is a function of its consequence. People learn to behave to get something they want or avoid something they don't want. Organizational behavior means voluntary or learned behavior in contrast to reflective or unlearned behavior. The tendency to repeat such behavior is influenced by the reinforcement or lack of reinforcement brought about by the consequence of the behavior.

Social-Learning Theory

This theory advocates people can learn through observation and direct experience. So, for example, much of what we have learned comes from watching models-parents, teachers, peers, motion picture and television performers, bosses, and so forth.

While social learning theory is an extension of operant conditioning that is, it assumes behavior is a function of consequences it also acknowledges the existence of observational learning and the importance of perception in learning. People respond to how they perceive.

2.4.2. Methods of Shaping Behavior

We can shape behavior by systematically reinforcing each successive steps that moves the individual closer to the desired response. Reinforcement would increase as responses more closely approximate the desired behavior.

Strategies of reinforcement, punishment and extinction

There are four way in which to shape behavior: through positive reinforcement, negative reinforcement, punishment and extinction. Look at the following table.

	Consequence is introduced	No Consequence	Consequence is removed
Behavior increases or is maintained	Positive reinforcement Example: You receive a bonus after successfully completing an important project		Negative reinforcement Example: Supervisor stops criticizing you when your job performance improved.
Behavior decreases	Punishment Example: You are threatened with a demotion or discharge after treating a client badly.	Extinction Example: Co-workers no longer praise you when you engage in dangerous pranks.	Punishment Example: You give up your "Employee of the month" parking spot to this month's winner

- I. Positive reinforcement – This occurs when the introduction of a consequence increases or maintains the frequency or future probability of a behavior. Receiving a bonus after successfully completing an important project usually creates positive reinforcement because it typically increases the probability that you use those behaviors in the future.
- II. Negative reinforcement:- Occurs when the removal or a voidance of a consequence increases or maintains the frequency or future probability of a behavior. Supervisors apply negative reinforcement when they stop criticizing employees whose substandard performance has improved.
- III. Punishment: - This occurs when a consequence decreases the frequency or future probability of a behavior. It may occur by the supervisor's introducing an unpleasant consequence or removing a pleasant consequence.
- IV. Extinction: - occurs when the target behavior decreases because no consequence follows it. For example, if an employee makes practical jokes that are potentially dangerous or costly, this behavior might be extinguished by discouraging others from praising the employee when he/she engages in these pranks. Behavior that is no longer reinforced tends to disappear; it becomes extinct.

CHAPTER THREE

FOUNDATION OF GROUP BEHAVIOR

3.1. Defining and Classifying Team and/or Group

The Nature of Groups

A **group** is "an organized system of two or more individuals who are interrelated so that the system performs some function, has a standard set of role relationships among its members, and has a set of norms that regulate the function of the group and each of its members. There are two important features to this definition.

First, groups have a function—they serve a purpose. People do not simply come together. People come together to accomplish something.

Second, groups have structure. Groups must be organized to pursue their functions effectively. Some groups, such as task forces, have formal structures. These groups exist as legitimate, documented subunits of larger organizations. Their structures exist on paper in the form of charters or handbooks. Other groups, such as study groups, are informal. These groups exist only in the minds of their members, who may know the group's structure only implicitly.

In either case, there must be rules that govern the conduct of group members.

Each member of the group must have tasks or duties to perform in the service of the group's function, or the group may find that there are too many cooks in the kitchen.

3.2. Classifying teams and/or groups

Types of Groups

Work groups can be formal or informal. **Formal work groups** are established to achieve organizational goals. Managers form a product quality committee to handle health and safety concerns in a manufacturing organization. **Informal work groups** emerge naturally when group members perceive that a group can achieve goals or meet their needs. Coworkers eat lunch each day to satisfy needs for affiliation and friendship.

Formal work groups include command groups, task forces, teams, and self-managed work teams. A **command group** is a collection of subordinates who report to the same supervisor. Command groups are based on formal reporting relationships and often consist of departments.

1. Formal Group

Formal group is designated work group defined by the organizational structure. It is collection of employees who work together to contribute towards achievement of organizational objective. Formal groups are formed based on the work and human resources required by skill, knowledge and experience to achieve organizational task. In a manufacturing unit, the organizational task is sub divided into groups and teams. Each group is composed of various members based on the human resource requirement. The members of the group report to a designated leader. They interact with each other on official level.

- A. Command Group:** It is formed to carry out a specific task. There is a leader in a group who is also designated by the organization. He receives orders from his superior and reports to him about group activities and performance.
- B. Task group:** A task group is made up of individuals from across the functional areas. They work together to complete a job/task. Task group boundaries are not limited to its hierarchical superior. Once the task is complete the group members fall back to their respective parent groups/units.
- C. Committee:** The other form of formal group is committee. It can be of permanent or temporary nature. Planning committee, finance committees are of permanent nature, they keep working all along and have a designated authority to control the work. There are temporary committees, which are formed to accomplish a one-time works like committees formed at district levels to issue identity cards to citizens. They are formed for specific work and disbanded once they have completed their work.

2. Informal Groups

Informal groups are groups that are not formally organized in the work system to get the job done but develop on their own randomly at workplaces because of common interest and mutual liking of the

group members. For example members of production department, body manufacturing department, HR department members and few individual from finance dept may form a friendship group. This development takes place because of the interaction they have with each other during the official work. Members from within one group or members from different departments or even an organization can form an informal group.

The features of such groups are as under:

- (a) Informal groups are formed by various members themselves, it has no official sanctity.
 - (b) These groups are formed based on commonality of culture, religious function, liking for each other and common interests.
 - (c) Their contribution for success of formal group is immense if properly handled by official authority.
 - (d) These groups evolve their own structure, elect their own leaders and have followers.
- They work based on group norms, social norms and code of conduct.
- (e) They represent the human side of an organization.
 - (f) The group exists without any rigid rules. Their common interest is bond for existence.

Informal groups can be:

- A. **Interest groups:** Comprises workers coming together to achieve a mutual objective
- B. **Friendship groups:** Comprises workers who share something in common

The Nature of Teams

In the management literature, the term *team* is often used interchangeably with the term *group*; however, we would like to make a distinction. Earlier we defined a group as two or more individuals who have come together to perform a function; they represent individual efforts coordinated within an existing system. In contrast, although a team is also a group, in a team the members are mutually accountable for the product or service they produce or provide. Teams provide details on what makes a group a team. In addition, Table 3-1 illustrates some of the differences between teams and groups.

Differences between Groups and Teams

Teams	Groups
Shared authority and responsibility	Limited sharing of authority and responsibility
All members share leadership	Leadership rests with one or a few individuals

Individual and team accountability	Individual accountability
Shared results and rewards	Modest sharing of results and awards
High degree of self-direction	Limited self-direction
Members work together to produce results	Results are produced by individual effort

Types of Teams

There are hundreds of types of teams. Among the most common are work teams, parallel teams, project teams, and management teams.

Parallel Teams: Parallel teams literally work parallel to the organization, performing problem-solving and improvement-oriented tasks that the regular organization is not equipped or structured to handle. Often referred to as task forces or quality improvement teams, parallel teams include people from across functions or work units. They typically have limited authority and can make recommendations only to individuals higher in the organizational hierarchy.

Project Teams: Project teams exist for relatively short periods of time for the purpose of producing a one-time product or service. Often, project teams consist of individuals from different and diverse disciplines or functions so as to increase the range of specialized knowledge and, consequently, chance of success. In developing a new product, for example, team members might include operations specialists, financial analysts, and engineers. Once the product is produced, team members either return to their original unit or move on to a new project.

Management Teams: Management teams coordinate collective output by managing and providing direction to the interdependent subunits they are responsible for. In a car manufacturing facility, for example, such a team would manage the production of an entire car. At the top of the organization, the executive management team manages the firm's overall performance and provides strategic direction. In increasingly complex and rapidly changing environments, top management teams (TMTs) are becoming common. Among their strengths are the members' extensive experience and expertise and their willingness to share in the responsibility for the success of the organization.

3.3. Why Do People Join Groups?

What are individuals hoping to obtain through groups that they could not obtain alone? The reasons people join groups fall into two general categories—group membership as means and group membership as ends:

Means: As we noted in the Introduction of this module, one important reason people come together and form groups (and join those groups into organizations) is that groups can be an important *means* to accomplishing desired outcomes. In particular, groups can enhance individual effectiveness and efficiency. Groups enable individuals to pool their resources and increase their individual productivity by taking advantage of economies of scale.

Ends: Individuals also join groups because group interactions can be desirable outcomes (or *ends*) in and of themselves. A student may join a study group to improve his or her grades, but the interaction

of the study group also provides an intimate social circle with which to commiserate when the demands of the classroom become overwhelming. Group interaction itself provides important rewards.

3.4. Stages of Group Development

The rules and roles that structure group interaction do not simply exist. Groups must evolve and develop rules and roles over time. Many theories have been offered to explain how groups develop. We will examine the five-stage perspective model as depicted in figure below.

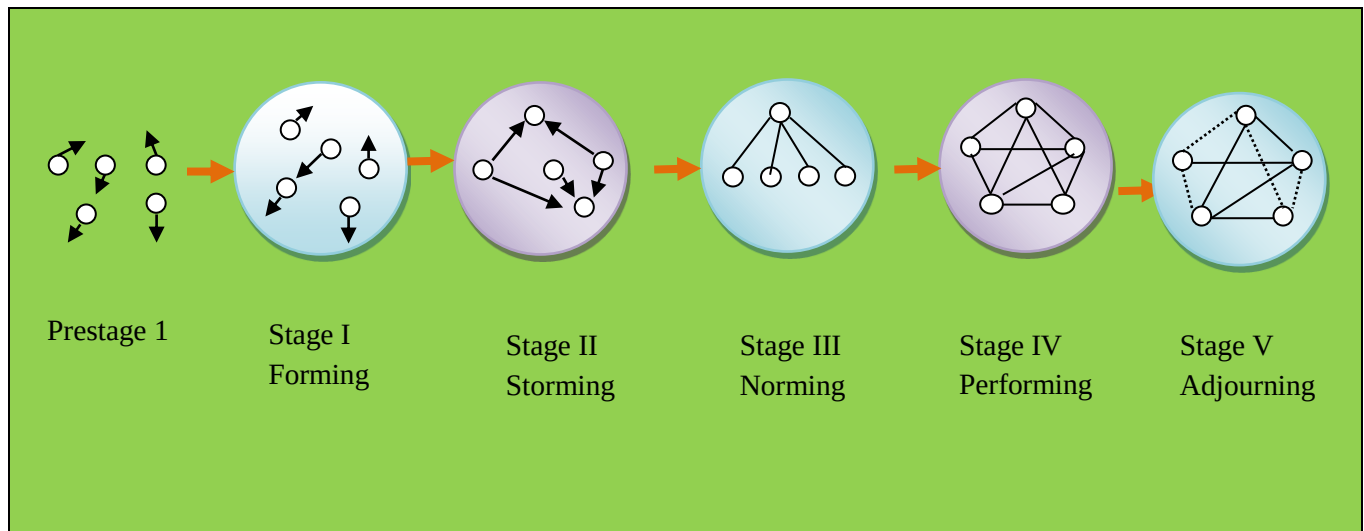


Figure 3.1. Stages of Group Development

The five-stage perspective is probably the best-known theory of how groups develop over time. This perspective proposes that groups pass through five distinct phases as they develop: Forming, Storming, Norming, Performing, And Adjourning.

Two important points should be kept in mind when considering the stages of group development.

First, groups sometimes move back and forth among these stages. As noted earlier, it is not unusual for a group to find that all of its conflicts were not settled initially. In such cases, a second or even third phase of differentiation may occur, until critical conflicts are ironed out.

Second, the transitions from one stage to the next may not be obvious to the group members themselves. In fact, much of the negotiation of roles and rules may be quite implicit.

Forming: When groups first come together, the members must get acquainted as well as determine the basis for group membership. **Forming** includes learning the traits and strengths of each member as well as what distinguishes a member from a nonmember. If participation in the group is voluntary, individuals decide during formation if membership is necessary or whether this group is likely to fulfill their needs. Preliminary identification of a leader usually occurs at this stage as well.

Storming: When group members have had an opportunity to assess the human resources available in a group, several battles must be fought; this is the **storming** stage. First, the group must decide what its goals and priorities will be. A study group might ask whether its only purpose is to study or whether it should fulfill an important social function as well. If the group is to have a social function, as well as a

study function, how will these two goals be reconciled? Are there other functions? Can the group fulfill its functions without creating problems for its members?

The second battle arises because the group must structure interactions to ensure effective functioning. It becomes important to determine who will fulfill which roles. Disagreements that are not handled now typically force the group back to this stage later in its development.

Norming: After group functions have been (at least tentatively) decided on and roles have been assigned, the tone of the interactions changes. Group members are working toward a common purpose, and the group has identified the human resources it needs to fulfill that purpose. During the **norming** stage, the group members define a set of rules and roles to coordinate group interactions and make pursuit of the goals effective.

Performing: After a group has identified its rules and roles, it has a structure within which to pursue its goals, and the group has reached maturity. If further conflicts surface the structure (roles and rules) should lead to non disruptive resolution of the conflicts. This is the **performing** stage.

Adjourning: Some time after a group has reached maturity; it may make sense for the group to disband, or **adjourning**. Some groups adjourn because their time is up; a CEO-advisory group, for instance, disbands when the CEO's term of office expires, or when the CEO quits or is fired. Groups may also choose to adjourn because they have outlived their usefulness—for example, if the group has lost critical members or found a solution to the problem it was convened to address (or even has realized that there is no solution). Finally, a group may adjourn prematurely if it fails to develop adequately—for instance, if it cannot manage conflicts.

3.5. Obstacle to Team/Group Productivity (Group Task and group Productivity)

The more complex the task, the more it is non-routine and requires a range of skills, the more important group process becomes. People can be more productive when working in groups than when working alone, if the obstacles to group productivity are avoided.

Synergy is a biological term referring to an action of two or more substances that result in an effect that is more than the mere summation of the individual substances; the whole is more than the sum of its parts ($2 + 2 = 5$).

Process loss is the difference between what is actually produced by a group and what could have been produced by the group when you consider its inputs ($2 + 2 = 3$).

Example of Synergy

- The **social facilitation effect** can either enhance group productivity (synergy) or restrict it (process loss):
- The performance of simple, routine tasks tends to be speeded up and improved by the presence of other people (synergy)

- When tasks are complex and require closer attention, the presence of other people will hurt performance (*process loss*)

Process Losses

- **Production blocking** occurs when people get in each other's way as they try to perform a task
- **Group-maintenance roles** must be filled in order to smooth group relations, but these roles divert time and effort from producing and thus cause process loss
- **Social loafing** or **free riding** occurs when a group member decides to loaf, hoping that someone else will pick up the slack (usually occurs when group rewards are shared equally, without regard to individual performance)

Social loafing

In groups, individual performance is difficult to identify. There is a strong potential for **social loafing**, the tendency to exert less effort in a group than in individual works. Social loafing can impact work-group effectiveness. Social loafing occurs for two reasons:

- ✚ Individuals in a group think that they will not receive positive outcomes for performing at high level.
- ✚ Individuals think that their own efforts are unimportant or not needed.

Social loafing occurs because workers feel that high-level performance goes unrewarded. This occurs because individual performance goes unidentified, and low-level performance goes unpunished. Motivation theories suggest that performance is high when outcomes are based on individual performance. Workers in a group believe that their efforts are unimportant and that others can do the work.

Social loafing results in performance below the group potential. Lack of motivation makes some workers exert less effort than if they worked individually. Social loafing by one leads to reduced effort by others. The **sucker effect** occurs when members, not inclined to social loafing, reduce efforts because they refuse to become the “suckers” of social loafers. This reflects the equity theory of motivation; inequity leads to restoring equity by changing inputs or outcomes.

Group Size and Social Loafing

Studies indicate that, as group size increases, group members put forth less effort. Identifying and rewarding individual performance are difficult, and members feel their efforts are unimportant in a large group. Group size contributes to other process losses, such as conflict and coordination problems.

Ways to Reduce Social Loafing

- + Managers can reduce or eliminate social loafing by *making individual contributions to a group identifiable* so that individual performance can be evaluated and appropriate outcomes delivered.
- + Group members can complete peer evaluations, or the level of group supervision can increase.
- + When individual performance cannot be separated, managers can *make each individual feel that contribution to the group is valuable*.
- + A manager can remind each member of unique contributions and indicate when group success or failure hinges on individual efforts. Managers can remind members that their selection hinged on their unique contributions.
- + Keeping the group as small as possible reduces social loafing. If process losses increase with group size, managers should reduce size by dividing the work into two groups. Group members will no longer perceive their efforts as unidentifiable or unnecessary.

3.6. The Behavior /Structure of Group Interaction

HOW GROUPS CONTROL THEIR MEMBERS?

In order for any group (formal or informal, command group or self-managed work team, large or small, homogeneous or heterogeneous) to accomplish its goals, the group must control—that is, influence and regulate—its members' behavior. Controlling members' behavior is crucial whether a group is charged with writing superior computer programs, providing excellent customer service, raising quality levels, or cutting costs. Effective groups are groups that control their members' behavior and channel it in the right direction. Three mechanisms through which groups control their members' behavior are **Roles, Rules, and Norms**.

From a means perspective, groups are useful only if the interaction of group members produces something greater than the sum of all the individuals' efforts.

RULES: Group rules can be formal or informal. Formal policies are explicitly agreed upon by the group members and may even be written down—for example, how often or at what time of day the group will meet. Many groups structure their meetings according to Robert's Rules of Order. These well known rules specify in writing who may talk and when and how disagreements will be settled by discussion and vote.

Group rules can also be *informal*. Informal, unstated rules that govern and regulate group behavior are called **norms**. Some groups have norms about what is appropriate to wear to meetings. Often, they have norms about lateness or absence.

Some groups also have norms prohibiting criticism of group decisions to "outsiders"—people who are not members of the group.

ROLES: Whereas rules delineate the proper behaviors of all members in a group, **roles** define the set of behaviors appropriate to particular *positions* occupied by specific individuals. Roles also specify authority relationships, including who in the group has the right to call meetings, set agendas, and assign tasks to group members.

Roles allow us to know what we should be doing and what to expect from others. Like rules, the roles that structure the interaction of group members can be formal or informal.

In work organizations, formal roles are specified by job descriptions. Some role assignments evolve during group development as particular strengths and talents of group members are revealed. Most groups have at least two leadership roles: a task leader (who focuses on getting the group's goals accomplished) and a socio-emotional (relations-oriented) leader (who focuses on maintaining harmony and good working relationships within the group). Roles are specific to particular positions within particular groups. An important component of most roles is status.

Norms: “Group Norms are set of beliefs, feelings, and attitude commonly shared by group members. These are also referred to as rules of standards of behavior that apply to group members”. These are prescriptions of behavior accepted and determined by the group. As per the Handbook of Industrial and Organizational Psychology, the Norm is defined as “*acceptable standards of behavior that are shared by the group members.*”

All groups have established norms, that is - norms tell members what they ‘ought’ and ‘ought not’ to do a thing under certain circumstances. From an individual stand point, they tell what is expected of them in certain situations. When agreed to and accepted by the group, norms act as a means of influencing the behavior of group members with a minimum of external control. Norms differ among groups, communities and societies, but they all have them.

Types of Norms

Norms may differ from organization to organization, nature of work and the location.

Following norms are generally found and practiced by all the organizations.

(a) **Performance Norms:** Performance standard is set by the individual worker and approved by the superiors. These are general norms, industry standards prevailing in a particular type of industry and

restricted to geographical limits. All the individuals are expected to fulfill their task within the stipulated time.

(b) **Appearance Norms:** Appearance norms are related to dress code and code of conduct in the organization. In good organization dress while on work, dress for sports function or for dinner are laid down. In defense services such norms are inbuilt in the organizational culture. As regards to code of conduct, an individual is expected to be loyal and display total dedication to the organization he serves. A group norm is a very powerful tool for high productivity and maintenance of peaceful relationship among the fellow workers.

(c) **Behavior Norms:** Guidelines for general behavior are issued by the management so that all the employees display behavior in an identical manner. These guidelines may cover various aspects relating to the work. This may include time management, punctuality, salutation, showing respect to the views of other member's behavior while on shop floor and level of professionalism that an individual should possess.

These norms eventually take the form of organization culture and are very useful for bringing down the conflict or stress level among the group members

Cohesion: Cohesiveness defines the degree of closeness that the members feel with the group. It identifies the strength of the members' desires to remain in the group and degree of commitment to the group. Cohesiveness of the group is reflected to the extent of unity displayed by the group members and adherence to the group norms. It is "WE" feeling displayed by the members of the group. Cohesion can be achieved when there is a feeling of attraction and adherence to group norms.

Cohesiveness of a group can produce miracles in the organization if group objectives and organizational objectives are complementary to each-other. If they differ then the group cohesiveness can be disastrous for the organization. It is therefore important for a manager to use group cohesiveness to the best advantage of the organization by identifying group member goals and aligning the same with organizational goals.

Group/Team Cohesiveness

Causes of group (Team) cohesiveness

What makes teams cohesive? The main factors influencing team cohesiveness are shown in figure below.

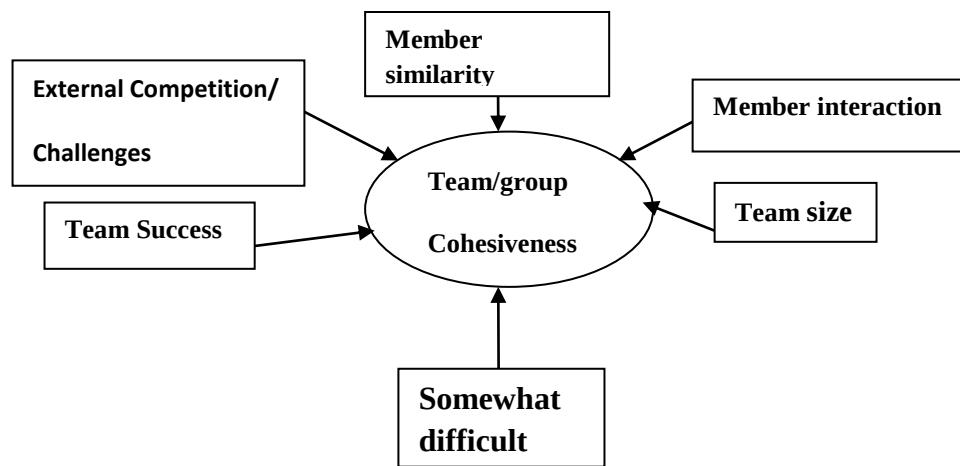


Figure 3.2:

Factors contributing to team cohesiveness.

For most part, these factors reflect the individual's identity with the group and beliefs about how team membership will fulfill personal needs.

➤ **Togetherness/ Member interaction**

It is a natural tendency that people want to remain together when they interact they know each other better and are attracted by their nature and behavior pattern. People share their happiness and hardships and a bond of togetherness is formed. In organizational setting, people on the same floor, department, residing in the same colony, bus stoop friendship are attracted to each-other because of their close proximity. It will invariably be found that the people who are closely associated by virtue of even seating arrangement in the work-place share their views and display more cohesiveness than those who are located away.

➤ **Group/Team Size**

In a large group it not possible for the individual to communicate with each other hence there is likelihood of large group being less cohesive than the small group. In work environment small group is more effective. If a group is large, there is also a possibility of formation of small sub groups within a large group. This will lead to delusions of group norms and power politics within the sub group, which is not desirable. Another interesting factor about group cohesion is the sex, whether the group composes of all male members of female members. Studies showed that if all members were of the same sex then small group had better cohesion than large ones (Robbins stephon).

➤ **Entry Norms**

There are organizations whose membership is difficult to obtain. There are also clubs which are reserved for exclusive members of a particular background like Defense Services Officers club.

Joining of such group elevates the status, position and members feel a sense of pride and accomplishment because the membership of such clubs is exclusive. At times, there is also a long waiting list to join such groups. More exclusive the group more cohesive it will be. More difficult to get entry, more cohesive the group would be.

➤ **Threat and Challenges/External Competition**

Every group has its own objectives. It has been experimented that whenever there is a threat to disturb the group norm or group objective, group members get more united to protect the group objective from the party threatening the same. It will be noticed that external threat brings higher degree of cohesion to the group. In the fast moving world today, the importance of group has increased many folds. Employees have sacrificed their perks and privileges to ensure higher productivity by adhering to group norms. For example employees in a well organized industry work beyond specified time to achieve group goals. Meeting higher challenges brings personal satisfaction to group members and higher level cohesiveness to the group they are part of.

➤ **Degree of participation in group Activities**

Participation in group activities is important as it leads to more frequent interaction between group members. Successes in group activities also bring cohesiveness as each of the participants feels that he has been the contributor for achievement of group goals. For example, participating in sports team, and achieving the victory.

➤ **Attitude and Value**

“Birds of the same feather flock together”. Group members having identically attitude and high level of value system will behave themselves identically and promote group norms and achieve Cohesiveness. In such situation decision making and implementation of group task is comparatively easy. Conflict situations are avoided and a smooth sailing is achieved. Interest of the group is well protected due to cohesiveness of the group.

➤ **Conformity**

Members in the organization want to belong to a group for various reasons. **First** they want to belong to a group to fulfill the need of social security. The **second** reason is the conformity to group decisions in conflicting and confusing situation as a best bet. Conformity with group norms and group decision provide an individual enough emotional strength to cope up with organization stress.

There are some individuals who have dominant ego factor, may not accept group decisions and therefore refuse to accept conformity. These individuals are called **deviants**. Such non-conformist has strong individual views and independent opinion on a particular issue. They can survive as group

members for being non-conformist. They are subsequently isolated from the other members of the group.

➤ **Groupthink**

Groupthink is a phenomenon in which the norms for consensus override the realistic appraisal of alternative course of action (Robbins OB 2000). Groupthink is a situation when all the members of a group are aligned to each other in the group and blindly abide by the group decisions. No external pressure is applied. In the process it has been seen that poor decision are made by the group as no one resist the decision, groupthink phenomenon is bad for group decision making because group members don't take decision based on rationality, non use of available data, and over estimation about ability. Too much of group cohesion is dangerous for equality decisions.

3.7. Increasing team/group productivity

To achieve group cohesiveness which has a significant impact on group or team productivity the following suggestion are made (J L Gibson and J M Lvanecvich)

- (a) Small group have better Cohesiveness.
- (b) Encourage unilateral acceptance of group goals.
- (c) Time spent by members for group activities should be increased.
- (d) Increase status of group and group members.
- (e) Create an environment of perceived difficulty in attaining group membership.
- (f) Competition with other groups.
- (g) Introduce reward systems.
- (h) Physical Isolation of group increases cohesiveness.

3.8. Implication for performance and satisfaction (Relationship between Cohesiveness Performance Norms and Productivity)

Study of cohesiveness is important because it has an impact on productivity of the organization. Performance norms are those work and behavior related activities that have been accepted as norm like Cooperation, Quality of output, interpersonal behavior etc. A cohesive group will be more productive than a less cohesive group. If cohesiveness is high and performance norms are low, productivity will be low thereby establishing the superiority of performance norms. If cohesiveness is low and performance norms are high, productivity will increase. When performance norms and Cohesiveness is low, productivity will fall.

Chapter 4

Fundamentals of Motivation

4.1. What is motivation?

The term is derived from the Latin word ‘mover’, meaning ‘to move’. Motivation is one of the key ingredients in employee performance & productivity. People won’t get the job done without motivation, even when they have clear work objectives, the right skills, and a supportive work environment,

Definition of motivation

Motivation is processes and it can be simply stated as psychological process that arouse and direct goal, behavior. It account for an individual’s intensity, direction and persistence of effort toward attaining a goal. This definition has 3 key elements such as intensity, direction and persistence.

Motivated people are willing to exert a particular level of efforts (intensity) for a certain amount of time (persistence) toward a particular goal (direction).Intensity is concerned with how hard a person tries. Effort requires persistence. And Persistence is a measure of how long a person can maintain his effort. Motivated individuals stay with a task long enough to achieve their goal.

Motivation refers to the forces within a person that affect his/her direction, intensity, and persistence of voluntary behavior. It is the result of the interaction of the individual and the situation. Individuals differ in their basic motivational drive. What motivated individuals vary among individuals and situations? Motivation energizes a person’s work. In essence, motivation governs behavior selection, direction, and level of effort. In motivation, Needs produce motives which leads to the accomplishment of goals and needs are caused because of deficiencies, either physical or psychological. Physical needs are the need for food, shelter, clothing, etc., and psychological needs are feeling of security, acceptance by the society, love and respect of friends, etc.

People have different needs that direct their behavior. Needs depend on the personal circumstances and the outside events. Needs cause people to seek out experiences that enrich their lives, and also trigger behavior to avoid threatening conditions and feelings of deprivations. A person who is motivated will work harder, is more effective in his work, has initiative and is more innovative than a person who is not motivated.

Several theories have evolved to explain different facets of motivation. Motivation theorists talk about intrinsic motivators and extrinsic motivators. Intrinsic Motivators come from the person’s internal desire to do something, motivated by such things as interest, challenge and personal satisfaction,

whereas extrinsic motivators motivation that comes from outside the person and include such things as pay, bonuses, and other tangible rewards.

4.2. Features of motivation

- a. **Motivation is a psychological phenomenon:** It is the inner desire of an individual to accomplish something more. The very deficiency forces him to undertake certain amount of work.
- b. **Motivation is a continuous process:** Since need is a continuous phenomenon if one need is satisfied the other need emerges and so does individual propels to work and thus the continuous chain is created.
- c. **Motivation is caused due to anticipated perceived value from an action:** perceived value is the probability or the expectancy.
- d. **There are unsatisfied needs:** A person remains disturbed till they are satisfied. This disturbance or tension causes disequilibria in human behavior.
- e. **An individual is motivated by positive motivation:** It refers to incentives offered by the organization to achieve efficiency. Incentive can be monetary like increase in pay, allowance and payment of bonus-payment for additional or overtime work. It can be non-monetary like issuing of certificates for excellence, awards, recognition, and status.

4.3. Importance of motivation

- a. **High level of performance:** it is the duty of every manager to ensure that the employees have a high degree of motivation. He should offer monetary and non-monetary incentives. Highly motivated workers would be regular for work and have a sense of belonging for the organization. Performance level will be high, quality of product will be improved, and wastage will be minimum.
- b. **Low employee turnover and absenteeism:** Employee turnover and absenteeism is caused due to low level of motivation. When dissatisfaction is increased employees do not enjoy the work assigned to them. Therefore there is a tendency of absenteeism. The workers hunt for an alternative job and leave the organization whenever they get an opportunity. High level of absenteeism causes low level of production, wastages, poor quality and disruption in production schedules. Increased turnover is disastrous for any organization as it puts strain on financial position of the organization due to additional recruitment, selection, training and development.
- c. **Acceptance of organization change:** Management must continuously scan the external and the internal environment. There has been a great impact of social change and technology evolution on the motivation level of employees. Management must ensure that the changes are introduced in the organization and its benefits explained to the employees so that there is no resistance to change and organizational growth is achieved.

- d. **Organizational image:** Employees are the mirrors of any organization. Managers must lay down high performance standards coupled with high monetary and non-monetary rewards. Training and development programs should be regularly organized and employee skill improved. It will also reduce employee turnover and better employee will look forward to join the organization.

4.4. Theories of Motivation

Motivation theories are the foundations of employee motivation. They fall into two main categories such as early theories and contemporary theories.

4.4.1. Early theories of motivation

1. Maslow's Needs Hierarchy Theory
2. Herzberg's motivation Hygiene theory, and
3. McGregor's theory x and theory y

1. *Maslow's Needs Hierarchy Theory*

The most well-known theory of motivation is Abraham Maslow's hierarchy of needs. He stated that human beings have five types of needs. Needs are hierarchal in nature and only one need dominates at any one point of time. Once the strongest need is satisfied then the second need emerges as being the strongest need and human behavior is regulated in process of achieving satisfaction in series of need requirements. The Maslow's Needs Hierarchy Theory is Abraham Maslow's needs hierarchy theory. It is one of the earliest & best known content theories that explain why people have different needs at different times. Maslow identified five basic categories of human needs and placed them in a hierarchy.

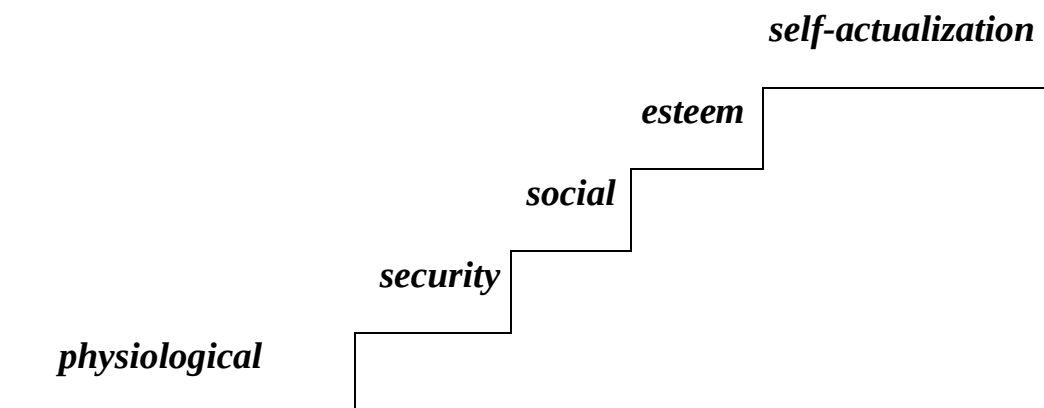


Fig: Maslow's Hierarchy of need's theory.

1. **Physiological:** Includes **hunger, thirst, shelter, sex, and other bodily needs**
2. **Safety:** Includes security and protection from physical and emotional harm
3. **Social:** Includes affection, belongingness, acceptance, and friendship

4. **Esteem:** Includes internal esteem factors such as **self-respect, autonomy, and achievement; and external esteem factors such as status, recognition, and attention**
5. **Self-actualization:** The drive to become what one is capable of becoming; includes **growth, achieving one's potential, and self-fulfillment.**

A satisfied need is no longer a need. Once that need is satisfied, the next level need becomes stronger. As to Maslow, behavior is primarily motivated by the lowest unsatisfied need at the time. As the person satisfies the lower level need, the next higher need in the hierarchy becomes the primary motivator. This is known as the satisfaction-progression process.

Critics of Maslow's Hierarchy of Needs Theory

Maslow has laid down that individual has a particular pattern and hierarchy of needs which may not be true. There are individuals who have devoted their entire life towards fulfillment of self actualization without having satisfied physical, safety or even social needs. To some people esteem need may be more important than social need. Level of need satisfaction generally differs from person to person hence the theory cannot be universally applied.

For some people social need may be dominant as compared to physical need or safety need. On the other hand a worker who is a sole income earner for the whole family may feel job security as his most dominant need. It is therefore fair to state that we may not find the needs in the given order and that the strength of a particular need is situation based. Other studies reported that needs vary according to a person's career stage, the size of the organization and even geographical location. Culture is also important when the hierarchy of needs is examined. For instance, social needs tend to dominate in more collectivist societies, like Mexico.

2. Herzberg's motivation— hygiene theory (Two factor theory)

Motivator-hygiene theory is developed by Frederick Herzberg.

A. Motivational Factors

- They are intrinsic in nature and help increase one's output.
- These factors have positive effect on morale, productivity, and job satisfaction and overall efficiency of the organization.

They are used to improve job satisfaction. These factors include achievement, recognition, work itself, advancement and responsibility. When these factors are available there is high satisfaction and strong motivation. When these factors are not available there is high satisfaction.

B. Maintenance Factors:

- These factors are also called hygiene factors or dissatisfies.
- When these factors are present they do not motivate in a strong way, when absent they dissatisfy.
- Hygiene factors are sources of job dissatisfaction.
- Therefore they do not contribute towards motivation.
- These factors are related more to the environment in which people work than to the nature of the work itself. These factors include company policy and administration, supervision, interpersonal relationship with superiors, interpersonal relationship with peers, salary, job security, personal life, working condition, status.

3. McGregor's theory X and theory Y

Douglas McGregor introduced theory X and theory Y which are opposite to each other.

Theory X

- + The average human being dislikes work.
- + People would be passive therefore management must persuade, reward and punish the worker to achieve the desired result.
- + Workers lacks ambition, dislike responsibility, prefers to be lead/directed.
- + An individual is self-centered and indifferent to organizational needs
- + By nature people resists change
- + The manager will have to structure, control and closely supervise employees
- + Most people must be closely controlled and often coerced to achieve organizational objectives

Theory Y

- + The average human being does not inherently dislike work.
- + Workers seek direction and exercise self-control. He dislikes punishment
- + The average human being learns under proper condition. He accepts/seeks responsibility
- + People can be self-directed and creative at work

4.4.2. Contemporary theories of motivation

1. Alderfer's ERG Theory
2. McClelland's theory of learned Needs.
3. Expectancy theory
4. Equity theory &

5. Goal-setting theory

1. *Alderfer's ERG Theory*

ERG theory Developed by Clayton Alderfer, to overcome the problems with Maslow's needs hierarchy theory. He further studies on Maslow's theory of need hierarchy and he identified three basic needs of human being against five needs of Maslow. It Groups human needs into three broad categories arranged in a hierarchy **existence (E)**, **relatedness (R)** & **growth (G)**.

- a. **Existence need**- related to provision of basic material requirement of human being and is related to Maslow's physiological and safety needs.
- b. **Relatedness need**- related to desire of an individual to maintain interpersonal relationships. It is related to Maslow's social and external component of esteem needs i.e., status, recognition and attention.
- c. **Growth need**- an intrinsic desire for personal development. It is related to intrinsic component of esteem need like advancement, self-respect, autonomy, achievement and self-actualization need. ERG theory is motivation theory in which people progress to the next higher needs when a lower one is fulfilled, and regress to the lower need if unable to fulfill a higher need. All the needs need not be in rigid stepwise progression. Any need may be stronger and individual is forced to fulfill that need. More than one need may be operative at any one time. **A person can, for instance, be working on growth even though existence or relatedness needs are unsatisfied; or all three need categories could be operating at the same time.**

ERG theory also contains a frustration-regression dimension. Maslow argued that an individual would stay at a certain need level until that need was satisfied. ERG theory counters by noting that when a higher-order need level is frustrated, the individual's desire to increase a lower-level need takes place. Inability to satisfy a need for social interaction, for instance, might increase the desire for more money or better working conditions. So frustration can lead to a regression to a lower need.

2. *McClelland's theory of learned needs*

The models described so far look at the individual's primary or instinctive needs and their relative importance in life. But there are secondary needs or drives, i.e. learned needs that are learned and reinforced through childhood learning, parental styles, and social norms. Several learned needs can motivate us at the same time.

David McClelland studied 3 secondary needs considered important sources of motivation.

- a. Need for achievement
- b. Need for affiliation, and

- c. Need for power

A. Need For Achievement

Need for achievement concerns issues of excellence, completion, challenging goals, persistence, and overcoming difficulties. A person with a high need for achievement is one who seeks excellence in performance, enjoys difficult and challenging goals, and is persevering and competitive in work activities. McClelland found that people with a high need for achievement perform better than those with a moderate or low need for achievement. People with moderate and low needs for achievement will be satisfied with less challenging goals, lower levels of excellence, and less persistence in the face of difficulty. However, these same people may have high needs for power or affiliation.

B. Need For Power

The need for power is concerned with making an impact on others, the desire to influence others, the urge to change people or events, and desire to make a difference in life. Social and hierarchical statuses are important considerations for people with a high need for power. The more they are able to rise to the top of their organizations, the greater is their ability to exercise power, influence, and control so as to make an impact.

C. Need For Affiliation

The need for affiliation is concerned with establishing and maintaining warm, close, intimate relationships with other people. People with a high need for affiliation are motivated to express their emotions and feelings to others while expecting other people to do the same in return.

3. Vroom's *Expectancy theory*

He believes that employee is motivated to exert high level of efforts when he believes that efforts will lead to good performance and therefore organizational rewards that will satisfy achievement of personal goals.

- ✓ **Efforts-performance relationship.** Exerting a given amount of efforts will lead to performance.
- ✓ **Performance-reward/outcome relationship.** Performing a particular level will lead to attainment of desired outcome.
- ✓ **Reward/outcome- personal goal relationship.** The degree to which an organizational reward will satisfy individual needs and goals. Refers to the anticipated satisfaction or dissatisfaction that an individual feels toward an outcome. Expectancy theory is a process motivation theory based on the idea that work effort is directed towards behaviors that people believe will lead to

desired out comes. Through experience, we develop expectations about whether job performance and work behaviors lead to particular outcomes. Finally, we naturally direct our effort toward outcomes that help us fulfill our needs.

Employee motivation is influenced by all three components of the expectancy theory model. If any component weakens, motivation weakens.

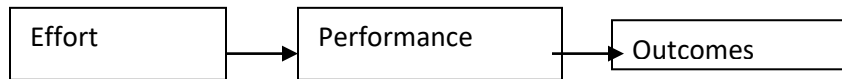


Figure. 7.3 Expectancy theory of Motivation

4. Equity Theory

Equity Theory explains how people develop perception of fairness in the distribution and exchanging of resources. And also explains what employees are motivated to do when they feel inequitably treated, i.e. perceived inequity motivate employees to complain and try to change the source of the previous inequity. Equity theory has four main elements:-

1. Outcome/ input ratio
2. Compression other
3. Equity evaluation and
4. Consequence of inequity

Outcome /Input Ratio

Inputs include skills, efforts, experiences, amount of time worked, performance result and other employee contributions to the organization. And Outcomes are the things employees receive from the organization in exchanging for the inputs, such as pay, promotions, recognition, or an office with a window. Both inputs and outcomes are weighed by their importance to the individual. These weights vary from one person to the next. People value outcomes differently b/se they have different needs.

Comparison with Others

Equity theory states that we compare our situation with a comparison other. The comparison other in a particular situation may be another person, group of people, or even yourself in the past and also it may be someone in the same job, another job, or another organization. Most of the time we compare ourselves with others who are nearby in similar positions, and with similar backgrounds. It is easier to get information about co-workers than people working elsewhere.

Equity evaluation

We form equity evaluation after identifying our outcome/input ratio and comparing this with the comparison others ratio, e.g. in you are assigned to a project with another student in your class, and both of you get the same project grade whether one of you contributes more than the other this means that your outcomes are the same as the other students outcome's. But in the equity condition, both of

you contribute the same effort and value to the project i.e. you and the comparison other have the same outcome / input ratio.

	<u>Person</u> <u>Other</u>	<u>Comparison</u>
Equity	$\frac{\text{Outcomes}}{\text{Inputs}} =$	$\frac{\text{Outcomes}}{\text{Inputs}}$
Negative Inequity	$\frac{\text{Outcomes}}{\text{Inputs}} <$	$\frac{\text{Outcomes}}{\text{Inputs}}$
Positive Inequity	$\frac{\text{Outcomes}}{\text{Inputs}} >$	$\frac{\text{Outcomes}}{\text{Inputs}}$

Consequences of inequity

Employees are motivated to reduce or eliminate their feelings of inequity by correcting the inequitable situation. There are 6 possible ways (strategies) to reduce feelings of inequity such as:

1. **Changing inputs:** Under-rewarded workers tend to reduce their effort and performance if these outcomes don't affect paycheck. Overpaid workers some times (but not very often) increase their input by working harder and producing more.
2. **Changing outcomes:** People with under-rewarded inequity might ask for more desired out comes, such as pay increase. If this does not work, some are motivated to join a labor union and demand these changes at the bargaining table.
3. **Changing perception:** Employee may distort input and out comes to restore equity feelings. Over rewarded employee typically follow this strategy because it's easier to increase their perceived inputs (seniority, knowledge, etc.) than to ask for less pay.
4. **Leaving the field:** Some people try to reduce inequity feeling by getting away from the inequitable situation. Thus, equity theory explains some instances of employee turnover and job transfer. This also explains why an under-rewarded employee might take more off work even though he or she is not paid for this absenteeism.
5. **Acting on the comparison other:** Equity is sometimes by changing the comparison other's inputs or outcomes.

6. Changing the comparison other: If we can't seem to alter the outcome/input ratio through other means, we might eventually replace the comparison other with someone having a more comparable outcome/input ratio.

5. Goal setting

Goal setting is one of the most effective and widely practiced theories of motivation in organizations. Goals are the immediate or ultimate objectives that employees are trying to accomplish from their work effort. Goal setting is the process of motivating employees and clarifying their role perception by establishing performances in two ways (1) by stretching the intensity and persistence of effort is channeled and (2) by giving employees clearer role perceptions so that their effort is channeled toward behavior that will improve work performance.

Characteristics of effective goals

A goal setting is more complex than simply telling someone to 'do your best'. OB scholars identified 5 conditions that are necessary to maximize task effort and performance.

Specific goals: Employee put more effort in to task when they work toward specific goals than "do your best" targets.

Result-oriented goals: Result-oriented goals improve work performance more than the process-oriented goals. A result-oriented goal is one that directly refers to the person's job performance, such as the number of customers served per hour.

Challenging goals: Employees tend to have more intense and persistent work when they have challenging rather than easy goals. Challenging goals also fulfill a person's need for achievement or growth needs when the goal is achieved.

Goal commitment: of course there are limits to challenging goals. At some point, a goal becomes difficult and those employees are no longer committed to achieving it. At that point, work effort falls.

Participation in goal formation: Another way to build or maintain commitment to goals is to ensure that employee is involved in the goal setting process. Participation in goal formation tends to increase goal commitment because employees take ownership of the goal, compared to the goal that is merely assigned by supervisor.

Goal feedback: Feedback also an essential ingredient in motivation process because our growth needs cannot be satisfied unless we receive information on goal accomplishments.

CHAPTER FIVE

MANAGEMENT OF ORGANIZATIONAL CONFLICT

5.1. INTRODUCTION

To study the dynamics of organizational behavior, study of conflict management deserves attention. In present corporate environment conflict has become very common phenomenon. Conflict is bad as it has adverse effects on the individual performance. If conflict is beyond control it takes a destructive dimension. When employees do not cope-up with the conflict situation, there is an increased absenteeism and exit of employees. It can be so disastrous that can lead to termination of an organization. American Firm Shea and Gould perished due to high degree of conflict. On the other hand it has been opinioned that conflict is good for the organization as it produces new ideas, increases competitive spirit, cohesiveness in the team and instills an atmosphere of brotherhood in the organization. This is only possible if ideas are properly channelized and there is proper delegation of authority, empowerment and autonomy in functioning.

5.2. DEFINITIONS

Conflict can be defined (Thomas K.A.) As the **“process that begins when one party perceives that another party has negatively affected something that the first party cares about.”** Conflict must be perceived by either of the parties. Stiff opposition due to incompatibility of organizational goals characterizes it. Conflict can also be caused due to difference about interpretation of facts or issues involved. Conflicts takes an ugly turn and take a form of violence due to disagreement based on behavioral expectations. It could be covert or overt and can be seen when one observes violent acts of individual in organizations. Austin et al defines conflict **“as a disagreement between two or more individuals or groups, with each individual or group trying to gain acceptance of its views or objective over others.”**

5.3. NATURE AND SCOPE OF CONFLICT

Every organization has its objective. It is further broken down as departmental objectives, group goals and lastly individual goals. When individual interacts with another individual there is perceptual and communication problems that causes misunderstanding and leads to individual conflict situation. It is also true of groups. Group conflicts indicate the way of inter-group behavior in an organization. This is more relevant in the Indian context, where inter-union rivalry is most cognizable. Inter-group conflict occurs due to group competition and group cohesiveness. This leads to a feeling of ‘we’ and ‘they’. “We are always right and they are always wrong”. Hence a beginning of conflict, Aims and objectives

of various organizations differ drastically that give rise to greater competition hence a high level of conflict. Conflict can arise between employer and employees, management and workers, one department and another, stakeholders, shareholders, producer and customers and between various trade unions that are often politically motivated. Schein has pointed out that, this problem exists because as groups become more committed to their goals and norms, they are likely to become competitive with one another and seek to undermine their rivals' activities, thereby becoming a liability to the organization as a whole. The overall problem, then, is how to establish high productive, collaborative intergroup relations. Michael states that conflict can lead to breakdown in standard mechanism of decision making so that an individual or group experiences difficulty in selecting an action alternative. The breakdown may be because of competing demands on an individual or group rivalry and competition. There can be vertical and horizontal conflicts; or individual conflict, group conflict and organizational conflict.

Conflict can be considered as expression of hostility, negative attitude, aggression and gross misunderstanding. It is caused due to varying interest of individual or groups. Pondy has described that the term 'conflict' is used in four ways to indicate

1. Antecedent conditions of conflictual behavior, such as scarcity of resources.
2. Affective states of individuals involved such as stress, tension, hostility, anxiety etc.
3. Cognitive state of individuals that is their perception or awareness or conflictual situations.
4. Conflictual behavior, ranging from passive resistance to overt aggression.

5.4. FUNCTIONAL AND DYSFUNCTIONAL CONFLICT

Conflict that supports the individual and group goals, which leads to higher performance is called **functional conflict** while the conflicts that hinders individual or group performance is called **dysfunctional conflict**. The latter generally takes destructive form. There is thin margin between the two types of conflicts mentioned above. While evaluating the impact of conflict on goal achievement, individual perception and effect of group performance should be evaluated. If the conflict contributes towards higher performance then the conflict should be called functional or otherwise dysfunctional. Conflict can be broadly classified in three types i.e. **task oriented conflict, behavioral conflict and structural conflict or process conflict**. Task conflict relates to the group goals or objectives to be achieved by the group while behavioral conflict relates to individual's value system, approach, attitude, ego state, skill and norms being followed by him. Studies reveal that most of the dysfunctional conflict fall under this category. Process conflict is related to how a task is being accomplished in the

organization. It is related with various processes, procedures, drills and instructions that are being followed on a particular job. When individual differs in this regard, conflict arises. This type of conflict can be eliminated to a large extent by following strict discipline in the work procedure and adhering to the rules and regulations. Positive points of functional conflict are as under:

5.4.1. Functional Conflict

1. Conflict develops cohesiveness within the group members. A group goal therefore becomes a priority. Individual goals are then relegated to secondary position.
2. Conflict leads to innovation and creativity, as there is competing spirit among various groups.
3. Conflict provides challenging work environment and enhances opportunities for self-development of group that leads to formation of group norms.
4. Enhance work culture leads to up gradation of various systems within the organization and therefore growth is achieved.

5.4.2. Dysfunctional Conflict

Conflict may turn out to be detrimental and disastrous and having deleterious effects. Dysfunctional nature of conflict can be identified in the following circumstances:

1. When conflict does not lead to solution.
2. When basic goals of the organization are neglected.
3. People should be treated with due respect. If it is violated and a climate of distrust and suspicion is created people feel defeated and demeaned which develops antagonism and leads to conflict.
4. Conflict may lead to absenteeism and subsequently to increased turn over if not controlled in time.
5. Dual management style may create hatred and lead to dysfunctional conflict.
6. Disagreement with management may be considered as disloyalty, if this environment prevails, an opportunity for creativity would be lost and employees would lose interest in their job. This would lead to increased conflicting situations.

5.5. TRANSITION OF CONFLICT

5.5.1. Traditional view

During 1930-40s, conflict was considered to be bad and viewed negatively. It was considered harmful, unnecessary and considered synonymous to violence, destruction and irrational. The view held that the conflict arose due to poor communication, lack of openness, lack of trust and failure of managers to be

responsive to the needs and aspirations of their employees. The view further held that the conflict must be avoided at all costs. During the same period, the scientific management and administrative school of management that were in the state of evolution, developed such organizational structure where responsibilities had been properly laid down, and rules, regulations and policies had been inbuilt in the system. Thus a proper mechanism was introduced in the management systems and an adequate attention was paid by the managerial staff to ensure that there was no misunderstanding among the employees and that the conflict was avoided.

5.5.2. Human Relations View

Human relations view, which prevailed between 1940-70 states that conflict, is a natural occurrence of individual behavior and that the conflict cannot be avoided. The theory propagated that we must accept conflict since we cannot eliminate the same. It further states that organizations must lay down proper policy and procedure, set achievable goals. Have proper communication and thereby avoid stress and strain. Resources should be properly allocated and steps taken to avoid occurrence of conflict. An environment of trust, cooperation, friendship and sharing is built amongst the employees so that increased productivity for the organization is achieved. Avoidance of conflict and trust building is the key for the prosperity of the organization.

5.5.3. Modern View

The modern view holds that conflict may be necessary for organizational effectiveness. It is believed that harmonious, peaceful and cooperative groups can become static and innovative. Minimum level of conflict that keeps the group alive, self-critical and creative is desirable. Modernists believe that conflict is structural in nature, is inevitable and endemic to the organizational milieu. It is a product of systems and determined by structural factors and integral to the nature of change. When groups interact there is bound to be difference of opinion and disagreements, which is a cause for conflict. It exists even when there is single individual who is faced with organizational problems like decision making. Conflict should be welcomed and managed effectively. Some of the positive points of minimum level of conflict are as under:

- a) Conflict should be expressed. By doing so, communication between two groups is restored that promotes growth.
- (b) Minimum level of conflict serves as pre-requisite for organizational development. Conflict brings changes.

(c) Conflict helps achieve cohesion within the group that develops group identity and members of the group follow group norms setting aside personal problems. This tendency leads higher level of productivity, sense of identity with the organization and increases group ability to compete with groups and departments.

d) Poor decisions are detrimental to organizational growth. Minimum level of conflict promotes stimulus for analytical thinking, which may challenge views, policies and systems prevailing in the organization. It will lead to reviews hence new policies may be introduced in the organization.

(e) Conflict can serve as power equalizer between two parties. This is clearly observed during management union meetings. While management is powerful at the beginning of the discussion it however tends to equalize itself as the discussion proceeds.

5.6. CAUSES OF CONFLICT

Communicational Aspect: Communication is an important process in the organization. Poor communication, passing of an incomplete information to a department may cause conflict because this may have far reaching consequences in attainment of organizational goals. Importance of full and complete communication cannot be over emphasized in the fast moving organizations in the present era of information technology. Some of the reasons for poor communication are as under:

a) Inadequate communication: where too much or too little information is passed from one department to the other.

b) Filtration effect: where end receiver receives very scant information having little or no value.

c) When information is not received on time: it must be noted that delayed information has no value as the decision might have already been taken without the information.

d) Barriers of culture, language.

(e) Inadequate training of sender and receiver.

(f) Noise problem

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- d) Barriers of culture, language.
- (e) Inadequate training of sender and receiver.
- (f) Noise problem

CHAPTER SEVEN

CULTURE AND DIVERSITY

7.1. INTRODUCTION

The word “culture” is frequently used in organizational behavior in connection with the concept of corporate culture, the growing interest in workforce diversity, and the broad differences among people around the world. Specialists tend to agree that **culture** is the learned, shared way of doing things in a particular society. It is the way, for example, in which its members eat, dress, greet and treat one another, teach their children, solve everyday problems, and so on. Geert Hofstede, a Dutch scholar and consultant, refers to culture as the “software of the mind,” making the analogy that the mind’s “hardware” is universal among human beings but the software of culture takes many different forms. Indeed, we are not born with a culture; we are born into a society that teaches us its culture. And because a culture is shared by people, it helps to define the boundaries between different groups and affect how their members relate to one another.

7.2. CHARACTERISTICS OF ORGANIZATIONAL CULTURE

The most recent research suggests that there are seven primary characteristics that, in aggregate, capture the essence of an organization’s culture.

1. Innovation and risk taking; the degree to which employees are encouraged to be innovative & take risks.
2. Attention to detail; the degree to which employees are expected to exhibit precision, analysis, and attention to detail.
3. Outcome orientation. The degree to which management focuses on results or outcomes rather than on the techniques and processes used to achieve these outcomes.
4. People orientation; the degree to which management decisions take into consideration the effect of outcomes on people within the organization.
5. Team orientation; the degree to which work activities are organized around teams rather than individuals.
6. Aggressiveness; The degree to which people are aggressive and competitive rather than easygoing.
7. Stability; The degree to which organizational activities emphasize maintaining the status quo in contrast to growth. Each of these characteristics exists on a continuum from low to high. Appraising the organization on these seven characteristics, then, gives a composite picture of the organization’s

culture. This picture becomes the basis for feelings of shared understanding that members have about the organization, how things are done in it, and the way members are supposed to behave

7.3. FUNCTIONS OF ORGANIZATIONAL CULTURE

(a) **It gives members an organizational identity:** Sharing norms, values and perceptions gives people a sense of togetherness that helps promote a feeling of common purpose. Culture provides shared pattern of cognitive perceptions or understanding about the values or beliefs held by the organization. This enables the organizational members how to think and behave as expected of them.

b) **It facilitates collective commitment.** The common purpose that grows out of shared culture tends to elicit strong commitment from all those who accept the culture as their own. It provides shared – pattern of feelings to the organizational members to make them know what they are expected to value and feel.

c) **It promotes systems stability.** By encouraging a shared sense of identity and commitment, culture encourages lasting integration and cooperation among the members of an organization. It enhances social stability by holding the organizational members together by providing them appropriate standards for which the members should stand for.

d) **It shapes behavior by helping members make sense of their surroundings.**

An organization culture serves as a source of shared meaning that explains why things occur the way they do. Organizational culture is not fully visible but felt. At less visible level culture reflects the value shared by organizational members.

e) **It provides a boundary:** Culture creates distinction between one organization and the other. Such boundary – defining helps identify members and non-members of the organization. Culture facilitates the generation of commitment to something larger than one's individual self-interest. It serves as a control mechanism that guides and shapes the attitude and behavior of organizational members.

f) It helps organizational members stick to conformity and expected mode of behavior.

Culture ensures that everyone thinks and behaves in a prescribed manner.

7.4. DO ORGANIZATIONS HAVE UNIFORM CULTURES?

Organizational culture represents a common perception held by the organization's members. This was made explicit when we defined culture as a system of *shared* meaning. We should expect, therefore, that individuals with different backgrounds or at different levels in the organization will tend to

describe the organization's culture in similar terms. Acknowledgment that organizational culture has common

Properties does not mean, however, that there cannot be subcultures within any given culture. Most large organizations have a dominant culture and numerous sets of subcultures.

A **dominant culture** expresses the core values that are shared by a majority of the organization's members. When we talk about an *organization's* culture, we are referring to its dominant culture. It is this macro view of culture that gives an organization its distinct personality.

Subcultures tend to develop in large organizations to reflect common problems, situations, or experiences that members face. These subcultures are likely to be defined by department designations and geographical separation. The purchasing department, for example, can have a subculture that is uniquely shared by members of that department. It will include the **core values** of the dominant culture plus additional values unique to members of the purchasing department. Similarly, an office or unit of the organization that is physically separated from the organization's main operations may take on a different personality. Again, the core values are essentially retained but modified to reflect the separated unit's distinct situation.

7.5.HOW EMPLOYEES LEARN CULTURE

Employees often learn culture from: The substance of public functions or events staged by a group such as Rites, Rituals Ceremonials, and The ways that the members of a group or organization typically communicate or express themselves such as Stories, Legends, Myths, Folktales, Sagas, Symbols, And language.

Rites and rituals are recurring activities that are used at special times to influence the behavior and understanding of organizational members.

Rituals are systems of rites like departmental song, colors, and company picnic or retirement dinners.

“**Cultural symbols** are an object, act, or event that serves to transmit cultural meaning”. Corporate uniform, tie, buttons etc are the examples. **Saga is a heroic account of accomplishments.**

Keeping Culture Alive

Once a culture is in place, there are HR practices within the organization that acts to maintain it by giving employees a set of similar experiences.

These forces play a particularly important part in sustaining a culture: selection practices, the actions of top management, and socialization methods.

- **Selection:** Concerned with how well the candidates will fit into the organization.

For example, provides information to candidates about the organization.

- **Top Management:** Senior executives help establish behavioral norms that are adopted by the organization.

- **Socialization:** The process that helps new employees adapt to the organization’s culture. The most critical **socialization stage** occurs when the new employee enters the organization. Socialization can be conceptualized **as a process composed of 3 stages**. These are: *Pre-arrival; encounter and metamorphosis*

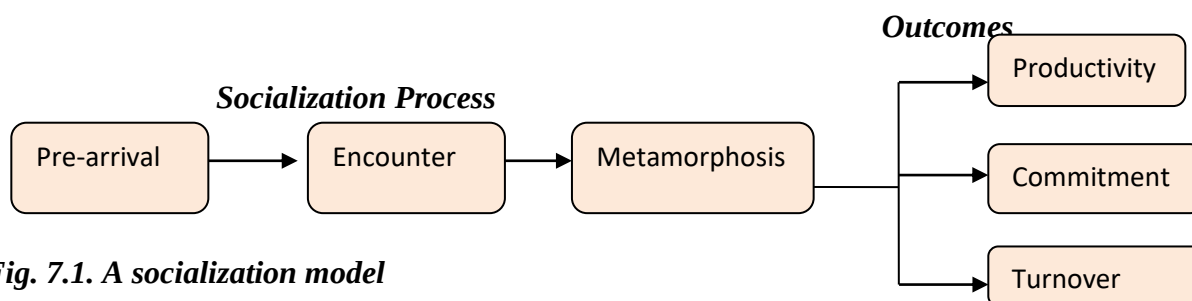


Fig. 7.1. A socialization model

The pre-arrival stage

The pre-arrival is the first stage that encompasses all the learning that occurs before a new member joins the organization. It is the period of learning in the socialization process that occurs before new employee joins the organization.

The encounter stage: The encounter is the second stage in which the new employee sees what the organization is really like and confronts the possibility that expectations & reality may diverge. Here the individual confronts the possible gap between expectations (- of the job, co-workers, boss, and the organization in general) and reality. **The metamorphosis stage:** is the third stage that the relatively long-lasting changes take place. The new employee masters the skills required for his/her job, successfully performs his/her new roles, and makes the adjustments to his/her work group's values and norms. The metamorphosis stage is the stage in the socialization process in which a *new employee adjusts to the work group's values & norms.*

Important Elements in Managing Culture

- + What leaders pay attention to?
- + How leaders react to crises
- + How leaders behave
- + How leaders allocate rewards
- + How leaders hire and fire individuals

7.6.Diversity

Diversity in the realm of OB has traditionally emphasized the difference among people in a group or organization (age, gender, race, religion etc). Now that the demographic projections of a few years ago have become a reality (the work force is older and has an increasing percentage of women and racial/ethnic minorities), there is an emerging perspective on diversity as an all-inclusive mixture of differences and similarities.

One of the most important and broad based challenges currently facing U.S. organizations is adapting to people who are different. The term we use for describing this challenge is work force diversity. Workforce diversity means that organizations are becoming heterogeneous in terms of gender, race and ethnicity. But the term encompasses anyone who varies from the so – called norm. We used to take a melting pot approach to differences in organizations, assuming people who were different would somehow automatically want to assimilate. But we now recognize that employees don't set aside their cultural values and lifestyle preferences when they come to work. The challenge for organizations, therefore, is to make themselves more accommodating to diverse groups of people by addressing their different style, family needs, and work styles. The melting pot assumption is being replaced by one that recognizes and values differences.

Guidelines for Managing Cultural Diversity

- **Organization members must:**

- Recognize and value a variety of opinion and insight.
- Recognize the learning opportunities and challenges presented by the expression of different perspectives.

- **The organizational culture must:**

- Foster high performance expectations for everyone.
- Stimulate personal development.
- Encourage openness.
- Make workers feel valued.

- **The organization must have:**

- A well-articulated and widely understood mission.

Effects of Organizational Culture on Employee Behavior and Performance

- + Allows employees to understand the firm's history and current approach.
- + Fosters commitment to corporate philosophy and values.
- + Serves as a control mechanism for employee behaviors.
- + Certain cultural types may produce greater effectiveness and productivity.

7.7. VALUES AND NATIONAL CULTURES

Cultures vary in their underlying patterns of values and attitudes. The way people think about such matters as achievement, wealth and material gain, risk and change, may influence how they approach work and their relationships with organizations. A framework developed by Geert Hofstede offers one approach for understanding how value differences across national cultures can influence human behavior at work. The five dimensions of national culture in his framework can be described as follows.

1. Power distance is the willingness of a culture to accept status and power differences among its members. It reflects the degree to which people are likely to respect hierarchy and rank in organizations. Indonesia is considered a high-power distance culture, whereas Sweden is considered a relatively low-power distance culture. **2. Uncertainty avoidance** is a cultural tendency toward discomfort with risk and ambiguity. It reflects the degree to which people are likely to prefer structured

or unstructured organizational situations. France is considered a high–uncertainty avoidance culture, whereas Hong Kong is considered a low–uncertainty avoidance culture.

3. Individualism–collectivism is the tendency of a culture to emphasize individual versus group interests. It reflects the degree to which people are likely to prefer working as individuals or working together in groups. The United States is a highly individualistic culture, whereas Mexico is a more highly collectivist one.

4. Masculinity–femininity is the tendency of a culture to value stereotypical masculine or feminine traits. It reflects the degree to which organizations emphasize competition and assertiveness versus interpersonal sensitivity and concerns for relationships. Japan is considered a very masculine culture, whereas Thailand is considered a more feminine culture.

5. Long-term/short-term orientation is the tendency of a culture to emphasize values associated with the future, such as thrift and persistence, versus values that focus largely on the present. It reflects the degree to which people and organizations adopt long-term or short-term performance horizons.

South Korea is high on long-term orientation, whereas the United States is a more short-term-oriented country.

7.8. GLOBALIZATION AND PEOPLE AT WORK

OB scholars are increasingly sensitive to the need to better understand how management and organizational practices vary among the world’s cultures. In this sense, we must be familiar with the importance of multinational employers, the diversity of multicultural workforces, and the special demands of international work assignments.

7.8.1. Multinational Employers

A true **multinational corporation**, or MNC, is a business firm that has extensive international operations in more than one foreign country. MNCs are more than just companies that “do business abroad;” they are global concerns—exemplified by Ford, Royal-Dutch Shell, Sony, and many others. The missions and strategies of MNCs are worldwide in scope. In the public sector, multinational organizations (MNOs) are those with nonprofit missions whose operations also span the globe. Examples are Amnesty International, the International Red Cross, the United Nations, and the World Wildlife Fund. The truly global organization operates with a total world view and does not have allegiance to any one national “home.” Futurist Alvin Toffler labels them *transnational organizations*

that “may do research in one country, manufacture components in another, assemble them in a third, sell the manufactured goods in a fourth, deposit surplus funds in a fifth, and so on.” Although the pure transnational corporation may not yet exist, large firms like Nestle, Gillette, and Ford are striving hard to move in that direction. Greatly facilitating those moves are new information technologies, which allow organizations to operate through virtual linkages with components and suppliers located around the world. The MNCs have enormous economic power and impact. Toffler, in particular, warns that “the size, importance, and political power of this new player in the global game has skyrocketed.” Their activities can bring both benefits and controversies to host countries. One example is in Mexico, where many *maquiladoras*, or foreign-owned plants, assemble imported parts and ship finished products to the United States. Labor is relatively inexpensive for the foreign operators, while Mexico benefits from industrial development, reduced unemployment, and increased foreign exchange earnings. But some complain about the downsides of *maquiladoras*—stress on housing and public services in Mexican border towns, inequities in the way Mexican workers are treated (wages, working conditions, production quotas) relative to their foreign counterparts and the environmental impact of pollution from the industrial sites

7.8.2. Multicultural Workforces

What is the best way to deal with a multicultural workforce? There are no easy answers. Styles of leadership, motivation, decision making, planning, organizing, leading, and controlling vary from country to country.

Managing a construction project in Saudi Arabia with employees from Asia, the Middle East, Europe, and North America working side by side will clearly present challenges different from those involved in a domestic project. Similarly, establishing and successfully operating a joint venture in Kazakhstan, Nigeria, or Vietnam will require a great deal of learning and patience. In these and other international settings, political risks and bureaucratic difficulties further complicate the already difficult process of working across cultural boundaries. The challenges of managing across cultures, however, are not limited to international operations. In this connection, a new term has been coined—*domestic multiculturalism*, which describes cultural diversity within a given national population: This diversity will be reflected in the workforces of local organizations. Los Angeles, for example, is a popular home to many immigrant groups. Some 20 percent of the city’s school children speak other languages more fluently than they speak English; in Vancouver, British Columbia, Chinese is also the mother tongue of some 20 percent of the population.

CHAPTER EIGHT

POWER AND POLITICS IN AN ORGANIZATION

8.1. Definition of Power

Power is derived from the official position held by an individual in an organization. As Rosa Beth Kantar says, “Power is the ability to get things done.” Those in power are able to marshal their resources in a way that helps them achieve their goals. They are able to be effective in their jobs and earn the respect of others. Having power as resource can help you gain support, information, supplies—everything and anything that is needed to be productive in your job.

Power is a tool and resource, a means as an end while politics represents tactics used by employees to use to manipulate power in organizational setting. Leaders use power as a means of attaining group goals. Leader use power to ensure compliance of job assigned to them. Power is also used to control various activities of individuals and groups. Politics is a process whereby power is acquired and used to influence behavior of others. It is endemic to every organization. People form groups, camps or cliques when they play politics. People playing politics for power where ethics, moral values, organizational goals are of little concern. Dalton identified following six areas where politics was being played actively.

- Pressure for economy
- Co-operation of officially powerless experts with their administrative superior line and staff-relationship.
- The conflict between labor and management for interpreting agreements.
- Uncertainty about standards and strategies of promotion.
- Difficulty in linking reward with productivity
- Practicality of policies

Dalton observed that various type of alliances tend to develop among individuals; these alliances may be vertical, horizontal or mixed and are prime means of acquiring influence. This phenomenon of acquiring and exercising power seriously changes the command and control system in the organization. It forces to deviate from the established norm and process.

8.2. Contrasting leadership and power

What differences are there between the two terms? Leaders use power as a means of attaining group goals. Leaders achieve goals, and power is the means of facilitating their achievement. To sum up:

- Leaders use power as a means of attaining group goals.
- Leaders achieve goals, and power is a means of facilitating their achievement.
- Power does not require goal compatibility, merely dependence.
- Leadership, on the other hand, requires some congruence between the goals of the leader and those being led.
- Leadership focuses on the downward influence on one's followers.
- Leadership research, for the most part, emphasizes style.

Power does not minimize the importance of lateral and upward influence patterns.

8.3. Bases and sources of Power

Bases of Power

French and Raven (1959) and Raven (1965) have put forward following six bases of power.

(a) **Rewards:** this power source derives from the person's control over resources, for example power to control human resources, pay and promotion. The greater perceived value of each rewards, the greater the power. These rewards can be extrinsic in nature with tangible values as well as intrinsic such as praise or recognition.

(b) **Coercive:** the power to punish or reward the power to threaten and to use one's position to force others to take action. It reflects the extent to which a manager can deny desired rewards or administer punishment to control other people. For example a threat to meet given targets otherwise there would be reduction in salary.

(c) **Legitimate:** the power which is exercised in accordance with organizational rules. This is a power which is exercised with the authority of organization. Power derives from our cultural system of rights, obligations and duties, whereby position is accepted by people, i.e. right of private property.

(d) **Referent:** this depends on charisma or personal attraction of the individual. Interpersonal skill and emotional support from others are the sources of power for a person. The stronger the association, the stronger the power. For example Mahatma Gandhi, people believed in his ideology.

(e) **Expert:** power which derives from knowledge. Sometimes called sapient authority, this is power based on an acknowledgement of others expertise e.g. physician.

Sources of Power (Organizational Based)

1. Knowledge as power: Information Technology has taken a big leap in the last two decades. Information is necessary for top management to take decisions. Information is vital to carry out various operations in the business environment. Thus a person or a group holding information becomes more powerful than their counter part. Flow of information is necessary for continuous production or service operations. Persons who are in position to control the flow of information wield enormous power to influence the behavior of others.

2. Resource as power: Resources are necessary for any organization. While material or tangible resources can be procured easily, it is the availability of these resources, at right time, at right place in a required quality and at a competitive price. Any person having monopoly over scarce resources wield power. When project is required to be started, it is government agencies which delay the project for want of various resources, like power, water, etc. Human Resources are critical. Any person having direct or indirect control over making skilled persons available holds power. Organization cannot survive without adequate availability of various resources.

3. Decision making as power: Decision making as power in organization rests with the head of the organization. Decision making is delegated to departmental heads depending upon the nature of work, ability of the departmental heads and the trust enjoyed by them. Decision making is one of the most important processes of management.

Decisions are influenced, may be by subordinates, peers, friends or even family members who are psychologically close to decision maker. Therefore, both a person having decision making authority and a person who can influence decision making have power in the organization. Hiring a close relative, purchases in the organization, client selections etc. are day to day events in the organization which, indicate the power centers.

4. Power Centers: There exist people in the organization who desire to be stronger.

They also want people dependent on them. Specialists, people with special powers deliberately delay decisions or hold resources so that they become more demanding.

Power centers exist in various departments. It may in form of reservoir of power.

5. Dependency: Strength of power depends upon degree of dependency. Greater the dependency on the power holder greater influence will the power holder exercised over his subordinates. All managers

have two dimensional power bases. One is the power generated by the organizational authority and the second, the personal power by virtue of personality.

8.4. Power in group coalitions

A **coalition** is a collection of individuals who have banded together, thereby combining their individual sources of power. As the members of the Tragi alliance found in the hit television show *Survivor*, coalitions are the secret to power in organizations. When you join a coalition, your individual power is increased by the power of the others in the group. If you have one vote in an election, you cannot elect anyone on your own. But if you can gather together a large group of voters (each with one vote), those voters can decide who gets elected.

Coalitions represent a form of power *sharing* and, consequently, joining one incurs some costs.

Then it would be more than just your one voice; then your voice would have the strength of numbers behind it. One of the problems with this strategy, of course, is that finding other managers who want *exactly* what you want may be difficult. Under these conditions, you could form a compromise coalition.

Likewise, in a **compromise coalition**, all the members of the coalition are interested in the same issues, but they don't all get exactly what they want. The members of the coalition *compromise* on what each wants to make sure that the coalition gets something for its effort.

CHAPTER NINE

ORGANIZATIONAL DESIGN AND STRUCTURE

9.1. What is Organizational Structure and Design?

Organizational structure is the skeleton that captures the relationships among employees' different roles in the organization. **Organizational design** is the process of creating this structure, grouping roles and activities so that the interdependencies among organizational actors are coordinated effectively and efficiently. A common way in which an organization's structure is represented to employees and others is through an organizational chart. An organizational chart denotes the formal lines of authority in an organization. In short: **Organizational Structure:** The formal pattern of how people and jobs are grouped in an organization. **Organizational Design:** The decisions and actions that result in organizational structure.

9.2. The Essence of Organizational Design and Structure

No other topic in management has undergone as much change in the past few years as that of organizing and organizational structure. Traditional approaches to organizing work are being questioned and reevaluated as manager's search out structural designs that will best support and facilitate employees' doing the organization's work—ones that can achieve efficiency but also have the flexibility that's necessary for success in today's dynamic environment. Recall that organizing is defined as the process of creating an organization's structure. That process is important and serves many purposes. The challenge for managers is to design an organizational structure that allows employees to effectively and efficiently do their work. Just what is an organization's structure? An organizational structure is the formal framework by which job tasks are divided, grouped, and coordinated. When managers develop or change an organization's structure, they are engaged in organizational design, a process that involves decisions about six key elements: work specialization, departmentalization, chain of command, span of control, centralization and decentralization, and formalization.

Designing of Organizational Structure

Sheldon suggested – “Organization is the process of combining the work, which individuals or groups have to perform with the facilities necessary for its execution, that the duties so performed provide the best channels for the efficient, systematic, positive and coordinated application of the available efforts”.

Good organizational structure facilitates the following:

- (a) Every individual has to perform certain activities in the organization. He is responsible to accomplish the same and therefore certain amount of power and authority is given to him. Individual must also know his power position, seniority and official relationship in an organization so that he can perform his duties effectively.
- (b) Identical activities are grouped together in order to facilitate efficient functioning and achievement of results. Organizational structure is therefore needed for integration of diverse activities.
- (c) It is necessary that idle machine time is avoided, capacity is fully utilized and operations of production in particular and other functions are regulated to achieve utilization of resources. Bottlenecks are avoided and smooth flow of activities is achieved.

9.3. Steps in Formation of Organizational Structure

1. Determination of organizational goals and identification of related activities:

Organizational goals must be well defined and clearly spelt out. Based on the goals all activities that are required should be identified and broken down into smallest possible sub activities that may be assigned as a task or a job to the worker.

2. Grouping of activities: All identical activities should be grouped keeping in mind formation of various departments or divisions. Set of activities could further be sub-divided and assigned to a particular section of a department so that it will indicate the workload, human resource requirement, skills that may be necessary, the composition and layout of various facilities.

3. Delegation of authority: A person cannot perform his duties unless he has been given adequate authority to accomplish the assigned task. He cannot be made responsible and accountable if requisite authority has not been given. *Authority, responsibility and accountability* are tied together. An individual employee cannot be held responsible without authority. Production manager cannot be held responsible for shortfall in production if he has not been authorized to hire additional workers if required to meet the production targets. It is therefore necessary to adopt the following process:

(a) Determination of course of action to meet the organizational objectives.

(b) Division of various activities into appropriate segments to be handled by individuals appropriate to their skills.

(c) Assignment of tasks to individuals delegating necessary powers and resources. **(d)** Coordination to ensure that resources are adequately utilized and that there is no overlap or gap in task accomplishment.

When jobs, activities are classified, divided and grouped under executives at various levels, it would give birth to a rough skeleton on which an organizational structure is established. Formulating an organizational structure on the basis of the content of the job and subsequently making placements of various people is generally carried out. However, first assigning a job and later shaping an organizational structure can also happen. Some thinkers are of the opinion that beginning to allot the task should be made at the top level coming down to the bottom level. The others feel that the bottom level tasks should be allotted at the beginning and gradually moving up the ladder and making allocations. It is not important as to which approach is taken in making an organizational structure,

what is important is grouping of jobs and activities, delegation of authority and utilization of resources to its full capacity. It is also important to keep in mind that each job is confined to single person and adequate care is taken for narrow specialization within the structure of the organization.

Forms of Organization Structure

(a) **Mechanistic form of organizational structure.** An organizational structure based on formalized system that is relatively rigid in nature. This is generally applicable to those organizations that are not influenced by technological, product, market changes and generally maintains a constant pattern. In mechanistic form of organizational structure, authority is centralized at the top level of management and has a rigid hierarchy of authority. Decision making is generally reserved at the top level. The structure is characterized by plenty of written orders and instructions.

(b) **Organic form of organizational structure.** Organizations those are subject to change due to environmental factors like technology, market changes and product development generally adopt organic form of organizational structure. In such structures authority is delegated to various functional levels/individuals. Decentralized decision making is practiced that allows people to make their own decisions based on the environment and that they do not have to look over their shoulders. There are very few levels of organizational hierarchy and existence of flexible reporting system. Jobs are fairly well defined with few orders and instructions. These days, organic form of organizational structure is related to work groups and teams working independently on a particular project that report directly to top management. They are self-supervised, self-directed and self-controlled sub units that are self-accounted for their performance and attainment of organizational goals. The structure is more loosely and subject to changes very frequently to adopt to the environmental changes. It is highly flexible.

9.4. Types of Organizational Structures

The four elements of organizational structure—*job specialization*, *departmentalization*, *centralization/decentralization*, and *span of control*—represent the ways in which organizations coordinate the component tasks of their employees. Depending on how an organization combines these features, one of three primary organizational structures emerges: the simple structure, the bureaucracy, and the organic structure.

Simple Structure

The simple structure is most common in young or small organizations and is typically centralized. Coordination is largely a function of direct supervision, and the top manager has a broad span of control. In fact, in a simple structure it is common for all employees to report directly to the top manager, and typically employees have very little discretionary decision-making power. Entrepreneurial firms also have simple structures because inside such firms, everything revolves around the entrepreneur. Its goals are the entrepreneur's goals; its strategy is the entrepreneur's vision.

Bureaucracy

Bureaucratic organizations are designed to maintain accountability in their structures through predictability. In a bureaucracy, tasks are carefully planned in advance, and both the quantity and the quality of performance are closely monitored. *Job specialization* is often found in bureaucracies as roles tend to be narrow in scope and responsibilities extremely well defined. A detailed formal authority hierarchy exists to control and coordinate task performance. Rewards are allocated on the basis of following instructions, and compensation and selection are tied to ability to perform within narrow job functions. Bureaucracies may be either machine based or professional, depending on whether the organization's transformation technology is machines or people.

A machine bureaucracy (what most people think of when they think of a bureaucracy) has highly specialized and routine tasks; formalized procedures for the transformation process; a proliferation of rules, regulations, and communication channels; a functional departmentalization structure; a large span of control; and an elaborate administrative and technical structure.

A professional bureaucracy trains its workers to internalize a set of performance and professional standards. Professional bureaucracies differ from machine bureaucracies in that the production technology is composed of professionals who also control most of the organization's power. However, rather than standardize policies and procedures as a machine bureaucracy would, the professional bureaucracy seeks to standardize skills. Professional bureaucracies often provide services rather than products. Examples of professional bureaucracies include hospitals, universities, social work agencies, and consulting firms. Bureaucracies work best where profit is not an important objective and where value created is not easily quantifiable (e.g., bureaucracies are often found in education, defense, and police protection).

Organic Structures

The organic organizations that Burns and Stalker identified were far more flexible than bureaucracies, and they were able to adapt more easily when new demands were placed on them. In fact, the defining feature of an organization with an **organic structure** is its ability to respond efficiently and effectively to new demands. Organic organizations also tend to exhibit the following characteristics:

1. Knowledge and ability, rather than job descriptions or position titles, determine who will participate in solving particular problems. People are valued for their abilities rather than for their organizational status.

2. Organizational status and expertise are not assumed to be related.

Decision making is decentralized, and responsibility for decision making is pushed as low as possible to take advantage of the hands-on expertise of even the lowest-level members of the organization.

3. Communication flows freely in a lateral direction. The use of project teams and task forces is common (as are liaisons between departments or workgroups), to encourage information sharing across diverse areas of expertise. Of the varieties of organic structures, three are discussed here. The matrix structure is the most complex and formal. The boundary less organization and the virtual structure are two new and emerging designs that organizations are using more frequently. Boundary less organizations and virtual organizations may appear to have less formal structures than matrix organizations.

Matrix Structure

The matrix structure is particularly useful when an organization wants to focus on developing a particular product or concentrate on a specific client. Unlike other organizational structures, in which employees usually report to only one supervisor, organizations with a matrix structure has dual reporting structures. Employees report to a long-term manager who manages their professional and technical development, *and* they report to a person who is responsible for the project(s) they are working on. As one would expect, matrix organizations are difficult to manage. Because each employee has two supervisors, there is a lot of potential for conflict

Boundary less Organizations

Boundary less organizations is another innovative solution to meet changing business needs. General Electric CEO Jack Welch defined companies with this structure as "organizations where the barriers of hierarchy, function, and geography dissolve, and cross-functional teams are empowered to act quickly and in partnership with customers and suppliers." A basic tenet of boundary less organizations is that hierarchies and traditional structures put organizations at a disadvantage in reaching corporate goals. One of the first steps many boundary less organization take toward removing some of these barriers is

to change job titles (e.g., *human resources* to *member relations*, *subordinates* to *work partners*). However, just because boundary less organization are less formal doesn't mean that the work their members perform is easier than the work of people in formal structures—it's just different.

Virtual Structures

Virtual structures were a logical outgrowth of developments in technology and global expansion in corporate America, and are an outgrowth of the boundary less organization. A **virtual structure** is an evolving network of organizations or firms joined to share skills, costs, and resources. A challenge to traditional organizations, virtual structures is typically assembled only temporarily and for specific reasons. In addition, in their purest form they have practically no structure at all—no organizational chart, no central office, and no hierarchy. Table below provides a helpful summary of the characteristics of bureaucratic and organic structures to help determine the best fit.

Characteristics of Bureaucratic and Organic Organizations

Bureaucratic Organizations	Organic Organizations
Hierarchical structure, with stable divisions/departments based on functions	Flat structure, with temporary work groups/teams based on specific projects
Vertical communication dominates	Lateral communication dominates
Rigid job definitions set by senior management	Flexible job definitions, defined by individuals through interaction with colleagues
Power and authority based on seniority in hierarchy	Power and authority change with changing circumstances and are based on individual skills and abilities

In the next section we will consider other factors—such as internal and external environments, technology, age, and size—that influence the appropriateness of particular organizational structures.

Factors Influencing Choice of Organizational Structure

Examples of the common organizational structures—simple, machine and professional bureaucracies, and organic structures—can be observed among both successful and unsuccessful organizations.

The open systems view of organizations emphasizes that organizations must manage their dependence on the environment. Thus, the strategies an organization uses to manage and adapt to its environment

are reflected in the structure of the organization. As we will see, besides the environment and technology, the organization's life cycle is important in determining its structure.

The Internal Environment

An organization's internal or task environment has a major impact on the kind of interdependencies it must coordinate. The internal or task environment consists of any factors managers define as relevant to organizational decision making. This environment can be subdivided into three components: the organization's human resources, its functional and staff units, and its organizational levels.

The External Environment

After the internal environment has been specified, the external environment must be analyzed. Typically, external environments are categorized into four groups along two dimensions: the simple-complex dimension and the stable dynamic dimension. The simple-complex dimension focuses on the number of environments in which the organization or its units must function.

9.5. Technology and Job Design

Technology

In addition to the environment, management must consider the impact of technology on the functioning and competitiveness of the organization. How demanding are the organization's clients or customers for new products or services? And how quickly do products need to be altered to adapt to changing markets?

- ✓ Organizations with stable structures (e.g., bureaucracies) are often ill suited to coordinate and control the production process when demand is high for new products.
- ✓ An organization with a more adaptive (e.g., organic) structure would be better able to respond efficiently and effectively.
- ✓ Alternatively, if outputs are standardized, customers have few expectations, and product life cycles are long, then more bureaucratic or mechanistic structures will suffice.
- ✓ Span of control also differs depending on the type of technology the organization depends on. The more complex the technology, the more supervision is needed and thus a smaller span of control is required.
- ✓ However, in organizations that rely on professional employees, the span of control can be larger because professionals who have expert knowledge usually need little close supervision.
- ✓ In addition, as one would expect, the largest span of control can be used in organizations when routine tasks or technologies are in place.
- ✓ Finally, organizations with routine technologies typically have very clear, standardized performance expectations; their efficiency and output quantity goals are identifiable and measurable.

From this discussion, it's possible to make some predictions about which organizational structures are best suited to businesses with various forms of technology.

Job Design

The way tasks are combined to create individual jobs, the degree of flexibility employees have on their jobs, and the presence or absence of organizational support (like on – site day care and family leave) all have a direct influence on employee performance and satisfaction.

An understanding of work design can help managers design jobs that positively affect employees' motivation. For instance, jobs that scores high in motivating potential increase an employee's control over key elements in his or her work. Therefore, jobs that offer autonomy, feedback, and similar complex task characteristics help satisfy the individual goals of those employees who desire greater control over their work. The key, then, is to provide employees with cues suggesting their jobs score high on factors such as skill variety, task identify, autonomy, and feedback.